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America's (D)evolving Childcare Tax Laws

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ABSTRACT

Proponents have touted the ability of the Tax Cuts and Jobs Act (the TCJA) — enacted in the twilight of 2017 — to help American working families. But while the TCJA expanded some benefits available to parents with dependent children, these parental tax benefits may be claimed regardless of whether or to what extent childcare costs are incurred to work outside the home. To help working parents with these costs (which are often their largest expense), Congress might have turned to two other mechanisms in the tax law — the “child and dependent care credit” and the “dependent care exclusion.” While these childcare tax benefits are only available to working parents that pay for childcare, stringent limitations have kept many from recovering anything near their actual costs, particularly in the critical years before children reach school-age. As a result, the Code has been taxing families with different childcare needs inequitably. But the TCJA left these childcare tax laws untouched and thus did nothing to address this problem. By exploring critical junctures in their development, this Article seeks to understand how America’s tax laws have (d)evolved in this manner and, in doing so, situates some of TCJA’s alleged reforms into their historical context.

America’s childcare tax laws have not always been so limiting. In the seventies and eighties, the Code evolved significantly to allow working parents to claim relief for a relatively substantial portion of their childcare costs, resulting in more equitable taxation of family models. But in the decades following this evolution, Congress generally failed to adjust childcare tax benefits — even for inflation — allowing them to devolve in real value as childcare costs rose. Meanwhile, Congress created new and expanded existing tax benefits available to all parents even if they did not need childcare. Thus, over the past several decades, Congress not only restored but also perpetuated the inequitable taxation of different family models remedied by earlier reforms. The changes made in TCJA are, therefore, just the latest iteration of a decades-old trend.

In addition to revealing that the TCJA was a tepid if not specious attempt to address the working family’s plight, this history raises broader questions of political

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feasibility. This Article identifies several factors such as increased legal complexity, sophistic political rhetoric and, perhaps most significantly, changed normative expectations to explain the electorate's seeming apathy to our childcare tax laws' (d)evolution. Using this historical context, this Article argues that even modest changes to our childcare tax laws, while incapable of enacting systemic changes on their own, could nevertheless enact historically significant reform and perhaps revive dormant debates about the role the American government should play in the lives of parents.

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INTRODUCTION

Increasingly, American working parents find themselves in a “care crisis,”¹ struggling to pay childcare costs that are reportedly rising faster than both inflation² and their salaries.³ At least when campaigning, politicians and lawmakers from the left, right and center seem to agree that this problem must be addressed.⁴ There is, of course, far less agreement on how to do so.

¹ RUTH ROSEN, *THE WORLD SPLIT OPEN: HOW THE MODERN WOMEN'S MOVEMENT CHANGED AMERICA* 360 (2d ed. 2006) [hereinafter ROSEN, *WORLD SPLIT OPEN*] (referring to the lack of options for affordable, accessible childcare as a problem “most American women suffered privately, without realizing that the care crisis [i]s a pandemic problem among working- and middle-class families.”). See also Ruth Rosen, *The Care Crisis*, *THE NATION*, Feb. 27, 2007, <https://www.thenation.com/article/care-crisis/> (“Although we have shelves full of books that address work/family problems, we still have not named the burdens that affect most of America’s working families. Call it the care crisis.”).

² See, e.g. LYNDIA LAUGHLIN, U.S. CENSUS BUREAU, *WHO’S MINDING THE KIDS? CHILDCARE ARRANGEMENTS: SPRING 2011* 17 (2013), <https://www.census.gov/prod/2013pubs/p70-135.pdf> (finding costs of childcare have increased substantially since 1985, even when dollars are adjusted to constant value); Eric Morath, *Soaring Child-Care Costs Squeeze Families*, *WALL STREET J.* (July 1, 2016), <https://www.wsj.com/articles/soaring-child-care-costs-squeeze-families-1467415411> (reporting that “child care expenses alone have climbed nearly twice as fast as overall prices since the recession ended in 2009”). But see Andrew Flowers, *Childcare Costs May Not be Skyrocketing*, *FIVETHIRTYEIGHT* (July 23, 2015), <https://fivethirtyeight.com/features/the-cost-of-child-care-might-not-be-skyrocketing/> (questioning whether childcare costs are rising as quickly as some reports imply).

³ During her run for President, Hillary Rodham Clinton explained that “[t]he cost of child care has increased by nearly 25 percent during the past decade, while the wages of working families have stagnated.” *Early Childhood Education*, *THE OFFICE OF HILLARY RODHAM CLINTON*, www.hillaryclinton.com/issues/early-childhood-education/ (reproducing campaign proposal).

⁴ See, e.g., Zachary A. Goldfarb & Juliet Eilperin, *Childcare Issues Move to Political Forefront as Both Parties Position for Midterms*, *WASH. POST*, June 23, 2014, https://www.washingtonpost.com/politics/child-care-issues-move-to-political-forefront-as-both-parties-position-for-midterms/2014/06/22/01db633c-f986-11e3-a3a5-42be35962a52_story.html (“Paid leave and access to child care are surging to the top of the

Proponents of the Tax Cuts and Jobs Act (the TCJA)⁵ — passed in the twilight of 2017 — created a sticky narrative, which painted it as a relief-measure for working families.⁶ But while the TCJA did expand some benefits available to parents with dependent children, these parental benefits do not depend on whether or to what extent childcare costs are incurred to earn income.⁷

To address these costs — which can exceed rent and college tuition⁸ — Congress might have reformed two provisions in the Internal Revenue Code (the “Code”), which allow working parents to directly recover (*i.e.* reduce their tax liability by) the childcare costs they actually incur. Due to strict limitations many working parents — especially those with pre-school aged children — have only been able to claim tax relief for a fraction of their annual costs.⁹ As a result, the Code has been taxing families with different childcare needs inequitably. The TCJA, however, did not alter these “childcare tax laws” and thus entirely failed to address these problems.¹⁰ By exploring critical junctures in their development, this Article seeks to understand how America came to tax parents in this inequitable manner.

The story almost always starts with a case called *Smith v.*

nation’s political debate as Democrats and Republicans seek to win votes and advance policies to address the economic struggles of families trying to raise children and hold jobs.”)

⁵ Tax Cuts and Jobs Act, H.R. 1, 115th Cong. (2017).

⁶ Following House passage of the Tax Cuts and Jobs Act, Congressman Jack Bergman stated, “Today, for the first time in 30 years, the U.S. House of Representatives voted to reform the tax code and provide much needed relief for working families” Press Release, Congressman Jack Bergman, Tax Cuts and Jobs Act (Nov. 16, 2017), available at <https://bergman.house.gov/news/documentsingle.aspx?DocumentID=136>. Advocating for the TCJA in late November, President Donald J. Trump claimed that “the beating heart of [the] plan is a tax cut for working families.” President Donald J. Trump, Remarks on Tax Reform (Nov. 29, 2017), available at <https://www.whitehouse.gov/briefings-statements/remarks-president-trump-tax-reform-2/>. Majority Whip Scalise commented, “The good news is, that changes today with this tax cut plan that finally puts money back in the pockets of working families.” Representative Steve Scalise, Remarks on the Tax Cuts and Jobs Act (Nov. 2, 2017), available at <https://scalise.house.gov/press-release/scalise-tax-cuts-and-jobs-act-families-are-going-get-more-their-paychecks>.

⁷ See *infra* Section III.C.

⁸ CHILD CARE AWARE OF AMERICA, PARENTS AND THE HIGH COST OF CHILDCARE 20 (2017).

⁹ See generally Shannon Weeks McCormack, *Overtaxing the Working Family: Uncle Sam and the Childcare Squeeze*, 114 MICH. L. REV. 559 (2016) [hereinafter Weeks McCormack, *Overtaxing the Working Family*].

¹⁰ See *infra* Section III.C.

Commissioner.¹¹ Decided in the 1930's when, according to the Board of Tax Appeals (B.T.A.) "the working wife [wa]s a new phenomenon,"¹² the Code did not yet explicitly address whether working parents could recover childcare costs in order to reduce their taxable income. Instead, the Smiths asked to deduct these costs under the general sections of the Code that allow taxpayers to fully deduct expenses "ordinary" to a trade, business, or other profit-seeking venture.¹³ The B.T.A. declined.¹⁴ The expenses, it decided, were personal and when a "wife has chosen to employ others to discharge her domestic function" in order to venture into the external workplace, she may not, the B.T.A. concluded, deduct the costs of doing so to reduce her federal income taxes.¹⁵

After the *Smith* decision, lawmakers began to debate the (then explicitly gendered) question of whether working mothers should be able to recover the costs of childcare when calculating their tax liability.¹⁶ In 1954 — a year in which the Code was so massively reorganized that it was re-codified in its entirety¹⁷ — this question was the subject of particularly robust debates, which centered on whether the government should provide tax relief only to mothers that needed to work outside the home or also aid mothers that chose to participate in the external workplace even though financial necessity did not require it. One Congressperson, for instance, spoke with scorn of "the thousands, if not millions, of women . . . who . . . neglect [their family] obligations . . . to work and earn money which they can spend upon themselves in spite of the fact that their husbands are earning enough for a pretty fair living."¹⁸

¹¹ 40 B.T.A. 1038 (1939), *aff'd mem.*, 113 F.2d 114 (2d Cir. 1940).

¹² *Id.* at 1039. As will be discussed later, women of color had long been in the workforce, but white women were in the workforce at much lower numbers. See e.g. BART LANDRY, BLACK WORKING WIVES: PIONEERS OF THE AMERICAN FAMILY REVOLUTION 79–81 (2000).

¹³ See *id.*

¹⁴ *Id.* at 1039–40.

¹⁵ *Id.*

¹⁶ See *infra* Sections II.B - D.

¹⁷ See S. REP. NO. 83-1622, at 1 (1954); H.R. REP. NO. 83-1337, at 1 (1954) (stating that the 1954 Code represented "the first comprehensive revision of the internal-revenue laws since before the turn of the century and the enactment of the income tax.").

¹⁸ General Revenue Revision: Hearings before the H. Comm. on Ways & Means on Forty Topics Pertaining to the General Revision of the Internal Revenue Code, 83d Cong. 63 (1953) (statement of Nancy M. Henderson) (while questioning Mrs. Henderson, Rep. Noah M. Mason of Illinois said, "I am thinking of the thousands, if not millions, of women who are married who have families who have responsibilities but who prefer to neglect these obligations and responsibilities in order to go to work and earn money which they can spend upon themselves in spite of the fact that their husbands are earning enough for a pretty fair

Congress ultimately crafted the 1954 laws to provide tax relief only to mothers that had to enter the paid labor force. Regardless of their means, single mothers and “widowers”¹⁹ were entitled to deduct (*i.e.* subtract from their taxable income) childcare expenses up to a dollar maximum designed to cover most, if not all, of their childcare costs.²⁰ But for “working wives” (specifically identified as such)²¹ the full deduction was only available if she and her spouse earned less than a designated amount that hovered around the median income for all American families and was slightly less than the median income for dual earner families at the time.²² The deduction was phased out — *i.e.* reduced — once a family’s income exceeded this level and was lost completely when it exceeded the median income for dual earners in 1954 (about 120% of the median income for all American families that year).²³ The Code, therefore, taxed single parents and widowers rather equitably, as well as married parents of low and moderate means. But by deliberate design, the Code favored the one-breadwinner model for married families of above-moderate means.

Starting in the 1960s, however, some highly visible, feminist groups²⁴

living.”). See also John R. Nelson, Jr. & Wendy E. Warring, *The Child Care Tax Deduction/Credit*, in MAKING POLICIES FOR CHILDREN: A STUDY OF THE FEDERAL PROCESS 206, 216–18 (Cheryl D. Hayes ed., 1982) (discussing legislators’ concerns about the proposed child care deduction).

¹⁹ I.R.C. § 214(a), (c)(2) (1954) (defining a widower as any individual with a deceased spouse, regardless of gender).

²⁰ *Id.* § 214(b)(1); see also Nelson & Warring, *supra* note 18, at 219–20 (“The bill specified that the deduction could not exceed \$600 — a figure based on the estimated median monthly cost of childcare, \$50.”).

²¹ *Id.* § 214(b)(2).

²² *Id.* (the deduction for “[w]orking wives . . . shall be reduced by the amount (if any) by which the adjusted gross income of the taxpayer and her spouse exceeds \$4,500.”). Thus, the deduction would be reduced until income reached \$5,100 at which point it would be lost completely.

Median income for all U.S. families in 1954 was \$4,173; the median income of dual earner families was \$5,336. U.S. CENSUS BUREAU, HISTORICAL STATISTICS OF THE UNITED STATES: COLONIAL TIMES TO 1970, 296 tbl.G 179–188 (1976) [hereinafter CENSUS, HISTORICAL STATISTICS]. Thus, \$4,500 (the point at which the phase-out began) represented about 108% of the median income of all families and 84% of the median for dual earners, while \$5,100 (the point at which the phase out was complete) represented about 122% of the median for all families and about 96% of the median for dual earners.

²³ See *supra* note 22.

²⁴ A more inclusive discussion of “Second Wave feminism” will be provided in Section IV.A.

pressured lawmakers for legal reforms that would make childcare affordable for all working mothers, sometimes even identifying tax reform as part of that agenda. In its founding documents, for example, the National Organization for Women (NOW) demanded “[i]mmediate revision of [the] tax laws to permit the deduction of home and child care expenses for working parents”²⁵ and organized a “Baby Carriage Brigade” outside of the U.S. Tax Court to support a working mother claiming the constitutional right to deduct childcare costs.²⁶ Pushing strollers, demonstrators protested what they viewed as a sexist tax code that allowed all sorts of business expenses to be deducted but severely limited the ability of women to recover the childcare expenses they incurred to participate in the paid, public sphere. The demonstration’s slogan — “Are Children As Important As Martinis?”²⁷ — poignantly raised a fundamental question of tax policy that remains unresolved today: Why don’t we allow all working parents to recover childcare expenses like so many other costs of earning income?

Congress has never been willing to go quite this far. But reforms in the mid-seventies and early eighties brought the Code closer than it has ever been before or since. During this time, income limitations were eliminated altogether and dollar limits were raised to historically generous levels, allowing all working parents to claim tax relief for a relatively substantial portion of their childcare expenses.²⁸ As a result, America’s childcare tax laws evolved to tax families with different childcare needs much more equitably.

The story of what happened next is deceptively simple: since the mid-eighties, Congress has only increased the childcare tax law’s dollar limitations once, not even keeping these amounts indexed for inflation.²⁹ As a result, today’s childcare tax laws are, for many families, more restrictive than they have been at many points in history.³⁰ The story of why our childcare tax laws devolved in this manner is, of course, more complex. Since 1981, lawmakers have proposed hundreds of bills to modify these laws.³¹ In

²⁵ See *NOW Bill of Rights*, reprinted in “TAKIN’ IT TO THE STREETS:” A SIXTIES READER, 473, 474 (Alexander Bloom & Wini Breines eds., 1995) [hereinafter *NOW Bill of Rights*].

²⁶ ROSEN, *WORLD SPLIT OPEN*, *supra* note 1, at xxiii-xxii (provides chronology which lists as event occurring in 1971: “New York NOW forms a ‘Baby Carriage Brigade’ to demonstrate its support of women’s right to deduct childcare expenses. ‘Are Children As Important As Martinis?’ is their slogan.”).

²⁷ *Id.*

²⁸ See *infra* Section II.B.

²⁹ See *infra* Section III.A.

³⁰ See *infra* Section III.A.

³¹ See *infra* Section III.A.

the most recently completed Congress alone, at least two-dozen bills were introduced to their appropriate Committee, where they have generally perished.³²

But since the mid-eighties, instead of making significant adjustments to the childcare tax laws, Congress has created new and expanded previously existing tax benefits that parents with dependent children may claim. For instance, during the childcare tax law's devolutionary period, Congress created and expanded the Earned Income Tax Credit (EITC) and Additional Child Tax Credit (ACTC), available to working poor families.³³ Thus, as it has historically done, the Code continues to provide substantial (which is not to say adequate) tax benefits to working poor families, supporting those parents that must, out of economic necessity, work outside the home.

Yet Congress did not stop there. In the mid-nineties, it expanded the tax benefits available to families in the middle and upper-middle classes by, for instance, creating the child tax credit — also known as the CTC and not to be confused with childcare tax credit³⁴ — and consistently increasing the pre-existing personal exemption and standard deduction amounts available to parents. But none of these benefits depend on whether or to what extent a family incurs childcare costs and, therefore, do nothing to stymie the gradual erosion of childcare tax benefits or reduce the inequitable taxation of families with different childcare needs. Thus, the TCJA's parental tax "reforms" — which expand parental tax benefits like the CTC while leaving the childcare tax laws unaltered — are just another iteration of a decades old trend.

In addition to showing that the TCJA's approach is a meek if not spurious response to the "care crisis" faced by the American working family, the (d)evolution of our childcare and parental tax laws raises questions of political feasibility. While one would expect vehement objections from some constituencies, such as dual earner and single parent families, nothing

³² See, e.g., H.R. 6146, 114th Cong. (2016); H.R. 5971, 114th Cong. (2016); S. 3233, 114th Cong. (2016); H.R. 5828, 114th Cong. (2016); S. 3208, 114th Cong. (2016); S. 2879, 114th Cong. (2016); H.R. 4867, 114th Cong. (2016); H.R. 4699, 114th Cong. (2016); H.R. 2891, 114th Cong. (2015); H.R. 2721, 114th Cong. (2015); H.R. 2703, 114th Cong. (2015); H.R. 2184, 114th Cong. (2015); H.R. 1780, 114th Cong. (2015); H.R. 1720, 114th Cong. (2015); S. amend. 633 to S. Con. Res. 11, 114th Cong. (2015); S. 820, 114th Cong. (2015); H.R. 1492, 114th Cong. (2015); S. 661, 114th Cong. (2015); H.R. 964, 114th Cong. (2015); S. 446, 114th Cong. (2015); H.R. 750, 114th Cong. (2015) S. 215, 114th Cong. (2015); S. 180, 114th Cong. (2015); S. 74, 114th Cong. (2015). A full table of these bills is on file with the author.

³³ See *infra* Section III.B.

³⁴ See Taxpayer Relief Act of 1997, § 101, Pub. L. No. 105-34, 111 Stat. 788, 796-99 (1997) (codified as amended in I.R.C. § 24 (2012)) (establishing \$500 credit per child).

resembling the backlash of the seventies and eighties has occurred. Where are the demonstrations asking whether children are more important than martinis? Why aren't working families demanding change? Several reasons are explored in this Article.

Today's parental tax laws are more complex than they were in the seventies and eighties, consisting of an alphabet soup of benefits, whose different purposes may not be readily discernible to the non-tax expert. Further, the rhetoric employed to defend this stew is superficially persuasive. Whereas their predecessors were bald in their assertions about gender roles, today's lawmakers utilize arguments that can appear normatively sterile. Extending benefits to all parents through mechanisms like the CTC, some lawmakers claim, allows each family to choose the earning arrangement that is best for them.³⁵ These arguments are specious – unless the Code allows working families to recover their childcare costs, the Code already favors families that do not incur these expenses and does not tax families neutrally. But these argumentative flaws may not be readily apparent to the untrained eye.

Moreover, parental expectations about the role the American government should play in their lives have changed dramatically since the seventies. In 1971, after they passed both Houses of Congress, President Nixon surprised activists by vetoing the Economic Opportunity Amendments of 1971 that would have made universally subsidized childcare available to all parents, regardless of means.³⁶ But today, working parents of small children were probably not born when that bill was passed and vetoed or far too young to remember it. As one expert writes, “[w]hile a number of developed countries provide early child care the same way they provide kindergarten, most Americans take it as a given that they are on their own” unaware “that the government has [ever] seriously considered offering anything more than a patchwork system to help the very poor.”³⁷ Today, the peculiarly American norm of individualism — “the belief that we should be self-sufficient in providing [child] care, without any need for government support”³⁸ — is

³⁵ See *infra* Section IV.A.

³⁶ See 117 CONG. REC. 46,057-59 (President Nixon's veto message concerning the Economic Opportunity Amendments of 1971, S. 2007, 92d Cong. (1971)). See also, GAIL COLLINS, WHEN EVERYTHING CHANGED: THE AMAZING JOURNEY OF AMERICAN WOMEN FROM 1960 TO THE PRESENT 286 (2009) (would have been free for lower class, most middle class would get subsidy; households in top 25 would pay full fee; no one was required to participate but all were eligible.)

³⁷ COLLINS, *supra* note 36, at 285

³⁸ Lonnie Golden, Book Review, 62 INDUS. & LABOR REL. REV. 623, 624 (2009) (reviewing ROBERT W. DRAGO, STRIKING A BALANCE: WORK, FAMILY, LIFE (2007))

often accepted without examination.

Finally, the history of our childcare and parental tax laws, once put in its broader political context can be used to inform debates about their future. Reflecting our politics, recent proposals have spanned historical extremes. On one side of the spectrum, politically liberal plans call for the creation of government programs like universal preschool that compare in ambition and scope to those contemplated by the vetoed Economic Opportunity Amendments. By contrast, the TCJA did nothing to halt the devolution of the childcare tax laws and other politically conservative plans seemed to put their future existence into question. Between these two extremes lie reforms to our (d)evolved childcare tax laws. Such reforms, while not capable of enacting system-wide changes on their own, might nonetheless tax families more equitably, move the tax law in directions that have been historically resisted and even revive long dormant debates about the role the American government should play in the lives of parents.

This Article proceeds in four sections. After summarizing current childcare tax laws (which are the same both before and after the passage of the TCJA), Section I tracks the early history of these laws, which were designed to benefit only mothers who needed to work and deliberately favored the one-breadwinner model for married families of above-moderate means. Section II turns to the seventies and eighties, during which our childcare tax laws evolved to allow all working parents to recover a significant portion of their childcare costs, and, therefore, taxed family models more equitably than predecessor laws. Section III describes the decades following this evolution, in which Congress allowed childcare tax benefits to devolve while expanding other parental tax benefits that do not depend on actual childcare costs, restoring the inequitable taxation of families with different childcare needs. This history shows that the TCJA's supposed "reforms" are just another piece of a well-worn pattern. Section IV discusses why this (d)evolution has been politically feasible and couples these insights with the history developed in the first three Sections to inform debates about future tax reforms that might actually address the American working family's "care crisis." A brief conclusion follows.

I. THE CHILDCARE TAX LAWS' EARLY HISTORY

For American working families, early childcare costs may constitute one

("Finally, peculiar to the United States is the norm of individualism: the belief that we should be self-sufficient in providing care, without any need for government support.").

of the highest costs in their budget, sometimes exceeding rent³⁹ and college tuition.⁴⁰ While the Code allows parents to recover some of the childcare costs they incur to work outside the home, it also contains limits. As a result, many working parents will receive tax relief for only a fraction of the costs they actually incur, particularly in the critical years before children reach school age.

The first part of this Section describes our current “childcare tax laws” — *i.e.* the provisions of the Internal Revenue Code that allow working parents to recover the childcare costs they incur to earn income. As will be shown, these laws have long resulted in the inequitable taxation of families with different childcare needs. And the Tax Cuts and Jobs Act, which left these laws unaltered, did nothing to address these problems. The remainder of this Section begins the task of understanding how we came to have these childcare tax laws by tracing their early historical development.

A. Present Law and a Primer on Basic Tax Principles

Just as families are composed in many different ways, the ways in which families allocate the responsibilities of childrearing and earning income differ. The tax law has long built in a preference for families that do not need to purchase childcare on the external market by failing to tax the so-called imputed income produced when parents care for their children or secure other non-paid childcare arrangements — *e.g.* with other family members or neighbors. By not taxing the value created (or, put another way, the money saved) from these internal arrangements,⁴¹ the Code taxes families with different childcare needs inequitably.

For instance, assume two couples, the As and Bs, are each married and file joint returns (*i.e.* their filing status is married, filing jointly). Suppose that both couples earn \$50,000 this year. The As adhere to the “one breadwinner model” — Mr. A earns all of the family’s monetary income while Mrs. A cares for their two pre-school aged children. By contrast, Mr. and Mrs. B are “dual earners” — each work outside the home and, therefore, must purchase

³⁹ CHILD CARE AWARE OF AM., *supra* note 8, at 37 (2016) (“The cost of full-time center-based care for two children is the highest single household expense in the Northeast and Midwest. In the West and the South, the cost of child care for two children is surpassed only by the high cost of housing in these regions.”).

⁴⁰ *Id.* (“[I]n many states the cost of a year’s tuition and fees at a four-year public college is comparable to the average cost of child care.”).

⁴¹ See Nancy C. Staudt, *Taxing Housework*, 84 GEO. L.J. 1571, 1576 (1996) (explaining that the U.S. does not tax the imputed income of childcare, which is “the value of childcare services provided by a family member” even though “the value of identical services provided by a neighbor or a childcare center would produce a tax burden.”).

day care for their two pre-school aged sons. Without knowing more, it is easy to see that while the As and Bs both earn the same monetary income, the As are better off because they do not have to pay for childcare to do so.

And for many families, especially those with young children, childcare is no small expense. During her run for President, Hillary Rodham Clinton explained that “[t]he cost of child care has increased by nearly 25 percent during the past decade, while the wages of working families have stagnated.”⁴² In the ten most expensive states, the annual cost of a day care center — the most common paid childcare arrangement⁴³ — ranges from \$17,082 to \$10,317 per year⁴⁴ for one infant and from \$16,598 to \$23,400⁴⁵ for two pre-school aged children.

Because they are (perhaps quite a bit) better off than the Bs, the As should have higher taxable income than the Bs. The As’ income could be accurately reflected by taxing the imputed income produced by Mrs. A — *i.e.* taxing the value of the care she provides to her children. But the Code has never done this, for reasons not limited to concerns about proper valuation, privacy and public perception.⁴⁶ As a result, the taxable income of one-breadwinner families such as the As is understated — and these families are, therefore, under-taxed — compared to dual earner couples like the Bs who must siphon off (sometimes significant) portions of their earned income to pay for childcare.

A similar inequity exists among single parent families, who may often file as “heads of household.”⁴⁷ Suppose that single parents C and D earn the same taxable income. If C must pay for childcare while she is working, while D is able to secure non-paid care — with, for instance, a relative — the failure to tax the imputed income produced by D’s internal childcare arrangement results in her being under-taxed compared to C.

Taxing the imputed income of non-paid care is not the only way to correct these inequities. The Code could instead allow parents to reduce their tax liability to reflect the costs of childcare incurred to work. But the Code has

⁴² *Early Childhood Education*, *supra* note 3.

⁴³ CHILD CARE AWARE OF AM., *supra* note 8, 13 tbl.1.

⁴⁴ *Id.* at 33 tbl.4.

⁴⁵ *Id.* at 34 tbl.6.

⁴⁶ This is not to say it is not possible, and Professor Nancy Staudt has written an extremely lucid Article explaining not only how it could be done, but also the merits of doing so. See generally Nancy C. Staudt, *Taxing Housework*, 84 GEO. L.J. 1572 (1996).

⁴⁷ See I.R.C. § 2(b) (2012) (defining head of household); Rev. Proc. 2015-53, 2015-44 I.R.B. 615 tbl.2 (promulgating 2016 tax rates applicable to heads of households).

long limited their ability to do so in critical respects, which remain unchanged by the Tax Cuts and Jobs Act. The Code (both pre- and post-TCJA) allows working parents to recover childcare costs in one of two ways: Working parents may claim the “dependent care exclusion” which allows them to exclude from their taxable income⁴⁸ up to \$5,000 of the child care costs they incur while working;⁴⁹ alternatively, they may claim the “child and dependent care credit” (hereinafter the “childcare credit”) which allows them to credit⁵⁰ a percentage of these childcare costs up to \$3,000 or \$6,000 for one child and multiple children, respectively.⁵¹ (Hereinafter, the dependent care exclusion and child and dependent care credit will be referred to collectively as the “childcare tax benefits”).

Working families may choose the childcare tax benefits that result in the greatest tax savings, so long as they do not duplicate claims.⁵² But regardless of whether the exclusion or credit are claimed, the applicable dollar caps represent only a fraction of the costs that many working families — particularly those with young children — will incur. For parents needing full time care for two pre-school children in the most expensive states, for instance, the caps on both represent somewhere between 36% and 21% of total costs.⁵³

In addition to dollar limitations, the childcare credit is subject to a steep income phase down (though the credit can never be entirely lost, regardless of income). Families earning less than \$15,000 may claim a thirty five percent credit, allowing for a maximum credit of \$1,050 and \$2,100 for one child and multiple children, respectively.⁵⁴ But the credit starts to phase down (*i.e.* is reduced) once a family earns more than \$15,000 — an amount which represents less than 20% of the median income of dual earner families in 2016⁵⁵ and less than 30% of the median income of all American households

⁴⁸ That is, they do not have to include \$5,000 in taxable income, and therefore do not have to pay the tax that otherwise would be due on that portion of their income.

⁴⁹ I.R.C. § 129 (2012).

⁵⁰ That is, they may reduce their tax liability dollar-for-dollar by the prescribed amount.

⁵¹ I.R.C. § 21 (2012).

⁵² *See id.* § 21(c) (providing for a reduced credit when taxpayers take an exclusion under § 129).

⁵³ *See supra* note 45 and accompanying text.

⁵⁴ I.R.C. § 21(a)(2) (2012) (“applicable percentage” before phase out is 35%).

⁵⁵ *See Historical Income Tables: Households*, tbl.H-12, U.S. CENSUS BUREAU <https://www.census.gov/data/tables/time-series/demo/income-poverty/historical-income-households.html> (last revised Aug. 10, 2017) [hereinafter *Census Historical Income Tables*] (median and mean income for all households is \$59,039 and \$83,143, respectively; median and mean income for dual earner households is \$94,679 and \$120,912, respectively.)

that year.⁵⁶ Families earning anything more than \$43,000 — less than half the 2016 median income for American dual earner households⁵⁷ and about 73% of the median income for all households⁵⁸ — may claim only a twenty percent credit, allowing a tax savings of no more than \$600 and \$1,200 for one child and multiple children, respectively.⁵⁹

Due to these phase-downs, families in higher income ranges (and thus in higher marginal tax brackets) will generally benefit more from the dependent care exclusion. But its \$5,000 dollar cap ensures that many families that claim this exclusion will, like those claiming the credit, receive tax relief for only a fraction of their childcare costs, especially during the early years of their children's lives.⁶⁰ The tax savings offered by the dependent care exclusion increases with the taxpayer's marginal tax bracket, topping out at \$2,200 in 2016.⁶¹

One doesn't need to comprehend all of this detail (though working parents or their tax advisors will need to) in order to understand the consequences of these laws. The limitations contained in I.R.C. Sections 21 and 129, which respectively grant the childcare credit and dependent care exclusion, will often fall far short of the costs families actually incur, particularly when young children are involved. Thus, working families, such as our hypothetical Bs and single parent C, may recover only a fraction of the childcare costs they incur to work outside the home. As a result, the childcare tax benefits provided by Sections 21 and 129 (hereinafter referred to collectively as the "childcare tax laws") will, in many instances, fail to compensate for the Code's failure to tax the imputed income produced by non-paid childcare arrangements, like those enjoyed by the hypothetical As

⁵⁶ *See id.*

⁵⁷ *See id.*

⁵⁸ *See id.*

⁵⁹ *See* I.R.C. § 21(a)(2) (2012) (credit phases down to floor of 20%).

⁶⁰ In 2016, a dual earner couple filing a joint return would have benefited more from the exclusion than the credit once it earned above (approximately) \$80,000. A single custodial parent filing as head of household would generally benefit more from the exclusion once she earned about \$55,000. At those income levels, taxpayers filing under either status moved into a 25% tax bracket that would render the \$1,250 savings from a \$5,000 exclusion more than the phased down credit of \$1,200. *See* Rev. Proc. 2015-53, 2015-44 I.R.B. 615 (promulgating 2016 tax rates).

⁶¹ The maximum tax savings will be enjoyed by those in the top marginal tax bracket, but it is still limited to about \$2,200 — the value of the maximum exclusion (39.6% of \$5,000) plus the \$200 tax credit allowed under I.R.C. § 21(c)(2) (20% of the \$1,000 that would still be creditable, assuming the \$6,000 maximum credit for two or more children).

and single parent D. Put another way, when families are unable to fully recover their working childcare costs, they will be overtaxed compared to otherwise similarly situated families — *i.e.* those filing under the same status, earning the same taxable income, with the same number of dependent children – that do not incur these costs (or incur less of them).

The TCJA was widely touted as a tax cut for working families. One might have, therefore, expected that it would have significantly reformed our childcare tax laws. But the TCJA ignored them entirely, doing nothing to correct for the inequitable taxation of families with different childcare needs.

So severely limiting the ability of families to recover their working childcare costs is questionable under fundamental principles of tax policy.⁶² An income tax system generally seeks to tax profit and, therefore, allows many costs of income to be deducted in full.⁶³ If, for instance, a shopkeeper earned \$100 selling his wares but paid \$70 to rent his storefront, he would generally have only \$30 taxable income (*i.e.* he may recover, through a deduction, the \$70 expenses to arrive at his profit).⁶⁴ To the extent that childcare expenses are also costs of earning income then some significant recovery of these costs is justified to ensure that working parents are only taxed on their profits, as they should be. But, as discussed, our childcare tax laws sometimes stray far from this mark.

I have argued at length elsewhere that the Internal Revenue Code should be reformed to treat working childcare expenses like other, recoverable costs of earning income.⁶⁵ I will, therefore, not press on these points further here. Instead this Article explores a different question: How did we get here? How have we arrived at our current childcare tax laws, which create (sometimes-severe) inequities between parents with different childcare needs?

To answer these questions, we begin with the judiciary's role in shaping these laws.⁶⁶

⁶² See generally Weeks McCormack, *Overtaxing the Working Family*, *supra* note 9; see also Shannon Weeks McCormack, *Postpartum Taxation and the Squeezed Out Mom*, 105 GEO. L.J. 1323, 1350-66 (2017) [hereinafter Weeks McCormack, *Postpartum Taxation*].

⁶³ Though this is certainly not uniformly true. To cite just two examples, taxpayers are not allowed to deduct commuting expenses and are limited in the extent to which they may deduct meal and entertainment expenses. Treas. Reg. § 1.262-1 (a)(5) (prohibiting deduction for commuting costs and limiting meal expense deductions to meals eaten while traveling away from home).

⁶⁴ I.R.C. § 162 (2012) (allowing deduction of ordinary and necessary business expenses).

⁶⁵ See generally Weeks McCormack, *Overtaxing the Working Family*, *supra* note 9; see also Weeks McCormack, *Postpartum Taxation*, *supra* note 62, at 1350-66.

⁶⁶ This Section, therefore, is very deliberate in its scope. It does not, for instance, deal

B. The Judiciary's Role in Shaping Our Childcare Tax Laws

Most stories about taxation and childcare costs begin with *Smith v. Commissioner*,⁶⁷ decided in 1939, when Judge Opper (writing for the Board of Tax Appeals (B.T.A.)) believed “the working wife [to be] a new phenomenon.”⁶⁸ In this case, the B.T.A. determined that Mrs.⁶⁹ Smith could not deduct the childcare expenses she incurred to work outside the home.⁷⁰ At the time the case was considered, the Code did not contain provisions dealing explicitly with the recoverability of childcare costs. Thus, the Smiths argued, these expenses should be deductible under the general provisions of the Code — now Sections 162 and 212 — which allow taxpayers to deduct expenses ordinary and necessary to the conduct of one’s trade, business or other profit-seeking venture.⁷¹

The B.T.A. rejected the taxpayer’s argument that Mrs. Smith’s childcare expenses should be deductible under a “but for” test — *i.e.* “but for” the childcare expenses, Mrs. Smith could not work — and proceeded to list the other types of expenses that might be inappropriately deducted if it were to adopt the “but for” proposition the Smiths advocated. It wrote:

The fee to the doctor, but for whose healing service the earner of the family income could not leave his sickbed; the cost of the laborer’s raiment, for how can the world proceed about its business unclothed; the very home which gives us shelter and rest and the food which

with the Personal Exemption or Child Tax Credit, which provide benefits without regard to whether costs are incurred to work and which are discussed *infra*, at Section II. It also does not deal with the Earned Income Tax Credit, which does not hinge on actual childcare costs, which is available only to families in or near poverty, and which is discussed *infra* at Section II.

⁶⁷ 40 B.T.A. 1038 (1939), *aff’d mem.*, 113 F.2d 114 (2d Cir. 1940). Cf. Edward J. McCaffery, *Taxing Women*, ENG’G & SCI., No. 4 1997, at 34, 34, <http://calteches.library.caltech.edu/3932/1/Women.pdf> (beginning his history of the childcare tax laws by stating “Our tax system has a strong bias against two-earner, married families. This bias came to be because of a series of decisions made in the 1930s, 1940s, and 1950s, and hardly reexamined since.”).

⁶⁸ *Smith*, 40 B.T.A. at 1039. In fact, women of color had long been in the external workforce and so this assertion represents a very limited view. See LANDRY, *supra* note 12, at 82–83.

⁶⁹ Mrs. is used to signal that Mrs. Smith is married and to be consistent with the language used in the case. It is not meant to undermine the general feminist preference for Ms.

⁷⁰ *Smith*, 40 B.T.A. at 1039.

⁷¹ See *id.*

provides energy, might all by an extension of the same proposition be construed as necessary to the operation of business and to the creation of income. Yet these are the very essence of those “personal” expenses the deductibility of which is expressly denied.⁷²

Putting the acerbic tone aside, even students with a very elementary training in (any sort of) law should quickly identify the flaw in the Court's reasoning. Expenses incurred to see a doctor, to clothe oneself, and to attain shelter are not necessitated by the fact that one works. Expenses incurred to attain childcare during working hours are.⁷³ Put another way, work is a “but for” cause of the childcare expenses, but not the other costs the B.T.A. notes.

What the *Smith* decision lacks in analytical rigor it makes up for in bald transparency. Laid out in plain sight are the B.T.A.'s assumptions, biases and methodological missteps/omissions. After bungling the “but for” test to find that working childcare expenses were non-deductible personal expenses, Judge Opper offers additional thoughts:

The wife's services as custodian of the home and protector of its children are ordinarily rendered without monetary compensation. . . . Here the wife has chosen to employ others to discharge her domestic function and the services she performs are rendered outside the home. They are a source of actual income and taxable as such. But that does not deprive the same work performed by others of its personal character nor furnish a reason why its cost should be treated as an offset in the guise of a deductible item.⁷⁴

In this thought cloud, the Court displayed an unquestioned acceptance of the public/private sphere distinction widely identified in feminist discourse — that is, the Court made clear its unexamined belief that the duties of men occupy the public sphere (that is, are found within the external, paid workforce) whereas the duties of women occupy the private sphere (that is, their duties consist of unpaid, household labor).⁷⁵ Doubling down, the Court also seemed to convey a (not so subtle) disapproval of the mother who seeks to expand her duties to the paid, public sphere, seeming to insinuate that she's

⁷² *Id.* at 1038–39 (footnote omitted).

⁷³ I thank Professor Edward J. McCaffrey for his lucid explanation of these logical flaws when commenting on my article, Weeks McCormack, *Overtaxing the Working Family*, *supra* note 9, during the Loyola L.A. Tax Policy Colloquium (2015).

⁷⁴ *See supra* note 73.

⁷⁵ *See, e.g.*, Dorothy E. Roberts, *Racism and Patriarchy in the Meaning of Motherhood*, 1 AM. U. J. GENDER & L. 1, 16-17 (1993); Wendy W. Williams, *The Equality Crisis: Some Reflections on Culture, Courts, and Feminism*, 7 WOMEN'S RTS. L. REP. 175, 178 (1982).

shirked her more important duties within the private one.

What's more, the Court made no attempt to chase down the quite basic, fundamental tax consequences of the circumscribed spheres it insisted exist. Indeed, had it done so, it may have come to the conclusion that principles of tax equity might necessitate a deduction for childcare expenses. If the duties of the non-paying private sphere are so disproportionately assigned to women when compared to men, women must bear a far heavier cost in entering the paying, public sphere – that is, of earning income. A deduction for working childcare costs could then be seen to preserve one of the most basic dictates of taxation law: that similarly situated taxpayers should be taxed similarly.⁷⁶

It is well worth pausing to realize the consequence of this pithy decision that barely exceeds one page. Had the Court decided in favor of the taxpayer (or had the Second Circuit — which affirmed the decision without comment⁷⁷ — or the Internal Revenue Service not followed it), Congress might have theoretically played little role in the working mother's tax life, and might have simply allowed working childcare expenses to fall within the broad scope of expenses deemed recoverable under Sections 162 and 212, allowing taxpayers to deduct the ordinary and necessary costs of earning income.

But this was not to be. Instead Congress would, after *Smith*, begin its long wade into the question of whether and to what extent parents could recover the costs of childcare incurred while working. As the next Part will show, the cursory yet poignant *Smith* decision foreshadows themes that recurred throughout early Congressional debates about how the working mother should be taxed.

C. Early Congressional Action after *Smith*

In 1954, the Internal Revenue Code was re-organized and overhauled,⁷⁸

⁷⁶ See, e.g., David Elkins, *Horizontal Equity as a Principle of Tax Theory*, 24 YALE L. & POL'Y REV. 43, 43 (2006) ("The principle of horizontal equity demands that similarly situated individuals face similar tax burdens. It is universally accepted as one of the more significant criteria of a 'good tax.' It is relied upon in discussions of the tax base, the tax unit, the reporting period, and more.") This is not to say there is not controversy: scholarly critique of the concept abounds. See generally, e.g., Louis Kaplow, *Horizontal Equity: Measures in Search of a Principle*, 42 NAT'L TAX J. 139 (1989) (criticizing the concept of horizontal equity).

⁷⁷ *Smith v. Comm'r*, 113 F.2d 114 (2d Cir. 1940) (affirming the B.T.A.'s decision without comment).

⁷⁸ See, e.g., T. Coleman Andrews, *The Internal Revenue Code of 1954*, TAX EXECUTIVE, Oct. 1954, at x, x (1954) ("With the enactment of the Internal Revenue Code of 1954, the

representing one of several times that the entire Code was re-codified. The subject of childcare expenses was debated extensively.

Some lawmakers and organizations, including the American Bar Association, American Institute of Accountants, and American Nurses Association viewed childcare costs as business expenses and advocated that they, like many costs of earning income, be deductible and not subject to income or dollar limitations.⁷⁹ Representative Kenneth Roberts highlighted the inequity, asking why the “government . . . allows a lawyer to deduct entertainment fees lavished upon a prospective client” but “will not grant this privilege to the working mother who toils . . . in the hope that her children may have a better life.”⁸⁰

But the answer Roberts (perhaps rhetorically) sought is not really all that hard to discern — at least, not once one realizes the peripheral role principles of tax equity were playing in these debates. Rather than focusing on these fundamentals, the driving debate in Congress centered on whether mothers “should” be working outside the home at all. Lawmakers seemed to generally agree that single mothers and mothers of low means should receive tax relief for the childcare costs they incurred to work, since economic necessity required them to do so.⁸¹ But the debate over whether relief should extend to those that chose to work was far more contentious. Arguing that it should not, Representative Noah Mason offered colorful contributions:

I am thinking of the thousands, if not millions of women who are married, who have families who have responsibilities but prefer to neglect these obligations and responsibilities in order to work and earn money they can spend upon themselves in spite of the fact that

Internal Revenue Service was confronted with an unprecedented task. This legislation, the most sweeping revision of the Federal tax laws in our Nation's history, makes it necessary to rewrite virtually all of our regulations and revise more than 200 forms used by taxpayers.”); Roswell Magill & Henry W. de Kosmian, *The Internal Revenue Code of 1954: Income, Deductions, Gains and Losses* 68 HARV. L. REV. 201 (1954) (surveying changes to federal tax law enacted by the Internal Revenue Code of 1954); Jay A. Soled, *Reforming the Grantor Trust Rules*, 76 NOTRE DAME L. REV. 375, 388 (2001) (“In 1954, Congress conducted a massive overhaul of the 1939 Code.”).

⁷⁹ Nelson & Warring, *supra* note 18, at 214 (discussing arguments in favor of allowing deduction above the line as a business expense (as opposed to being deducted below the line, as itemized deductions)).

⁸⁰ *Id.* (quoting General Revenue Revision: Hearings before the H. Comm. on Ways & Means on Forty Topics Pertaining to the General Revision of the Internal Revenue Code, 83d Cong. 41 (1953) (statement of Rep. Kenneth Roberts)).

⁸¹ *Id.* at 217 (“Neither did most legislators object to encouraging poor or husbandless mothers to work to support themselves and their families.”).

their husbands are earning enough for a pretty fair living.⁸²

Mason also worried about women displacing male jobs: “Just at present our employment is almost full capacity, but suppose we have a slight depression and we have several million unemployed men.”⁸³ Should a married woman, Mason wondered, still “have the right to her career as well as her married privileges?”⁸⁴

The sentiments of Congressmen like Mason moved Congress away from the debate of whether working childcare expenses should be viewed as costs of earning income. Instead, debates focused on how to determine which women needed to work and which were choosing to do so, so that relief could be limited to the former group. Following the advice of the Eisenhower administration, the proposed House Bill limited deductions to widowers (regardless of gender), divorced women (specifically) and (also specifically) women with incapacitated spouses.⁸⁵

The proposed Senate Bill modified these eligibility restrictions.⁸⁶ The enacted law, which followed the Senate Bill,⁸⁷ allowed single mothers and “widowers” regardless of income to claim deductions up to a \$600 dollar cap,⁸⁸ a figure that estimated the median monthly cost of childcare at the time (\$50).⁸⁹ But “working wives” (identified specifically in this way) could only claim the full deduction if her income, when combined with her spouse’s, did not exceed \$4,500⁹⁰ — a figure which was \$300 higher than the median income for all families and about 85% of the median income of dual earner

⁸² *Id.* at 218 (quoting General Revenue Revision: Hearings before the H. Comm. on Ways & Means on Forty Topics Pertaining to the General Revision of the Internal Revenue Code, 83d Cong. 63 (1953) (statement of Nancy M. Henderson)).

⁸³ *Id.*

⁸⁴ *Id.*

⁸⁵ *Id.* at 219–20.

⁸⁶ *Id.* at 220.

⁸⁷ *Id.* at 220–22.

⁸⁸ See I.R.C. § 214 (a), (b) (1954).

⁸⁹ Nelson & Warring, *supra* note 18, at 219–20 (explaining that the \$600 “figure [was] based on the estimated median monthly cost of childcare, \$50”).

⁹⁰ I.R.C. § 214(b)(2) (1954) (the deduction “shall be reduced by the amount (if any) by which the adjusted gross income of the taxpayer and her spouse exceeds \$4,500.”) Thus, the deduction would be reduced until income reached \$5,100 at which point it would be lost completely.

couples in 1954.⁹¹ After this point the deduction phased-out (*i.e.* was reduced) and was lost completely once combined income reached \$5,100⁹² — about \$900 higher than the median income for all households and about \$200 shy of the median income for dual earner couples at the time.⁹³ Thus, the Code taxed single parents and widowers rather equitably, regardless of whether they incurred childcare expenses to work outside the home. It also did this for married parents of low and moderate means. But by deliberate design, the Code favored the one-breadwinner model for married families of above-moderate means.

Considering the debates animating these laws, one might have, in 1954, reasonably lamented that not much had changed since *Smith*. Setting aside issues of tax equity, lawmakers held strong to the public/private distinction, viewing with suspicion and scorn the working mother who, in the words of Congressman Mason “neglect[ed] [her] . . . responsibilities” to care for her children,⁹⁴ or in the words of Judge Oppen “chose[] to employ others to discharge her domestic function.”⁹⁵ But the story of our childcare tax laws is far from over.

II. THE CHILDCARE TAX LAW’S EVOLUTIONARY PERIOD

In the sixties, cultural attitudes about the role of women in the American workplace started to change rapidly. The first part of this Section discusses some of the cultural influences and political developments that catalyzed this shift. Despite these developments, however, reforms to the childcare tax laws during this decade remained modest, resulting in laws that were not much more generous than their 1954 predecessors and that continued to prefer the one-breadwinner model for married parents of above-modest means. However, as the second part of this Section shows, during the seventies and eighties, the childcare tax laws experienced a rapid evolution, in which all

⁹¹ See CENSUS, HISTORICAL STATISTICS, *supra* note 22, at 296 tbl.G 179–188. (estimating median income of all families in 1954 at \$4,173 and of dual earner families at \$5,336.).

⁹² See *supra* note 90.

⁹³ See CENSUS, HISTORICAL STATISTICS, *supra* note 22, at 296 tbl.G 179–188. (estimating median income of all families in 1954 at \$4,173 and of dual earner families at \$5,336.).

⁹⁴ Nelson & Warring, *supra* note 18, at 218 (quoting General Revenue Revision: Hearings before the H. Comm. on Ways & Means on Forty Topics Pertaining to the General Revision of the Internal Revenue Code, 83d Cong. 37–41 (1953) (statement of Nancy M. Henderson)).

⁹⁵ *Smith v. Comm’r*, 40 B.T.A. 1038, 1039 (1939).

parents were able to recover a substantial portion of their childcare costs, resulting in more equitable taxation of families with different childcare needs.

A. A Bit about the Sixties: A Lot of Activism, Modest Childcare Tax Reform

For many, the sixties bring to mind pictures of (among other things) feminist activism. The feminist movements⁹⁶ are sometimes described as occurring in waves, though other scholars have forcefully argued that this misrepresents their true nature which was more continuous than this metaphor suggests.⁹⁷ Those that employ the metaphor most readily identify the first wave of feminism with the fight for women's suffrage and often mark its end in the 1920s when the Nineteenth Amendment to the United States Constitution was passed.⁹⁸

⁹⁶ I have referred to movements in the plural intentionally, reflecting the work of scholars wishing to avoid the reductionist tendency describe Second Wave feminism as consisting of one cohesive movement. See, e.g. Sherna Berger Gluck et al., *Whose Feminism, Whose History?: Reflections on Excavating the History of (the) U.S. Women's Movement(s)*, in COMMUNITY ACTIVISM AND FEMINIST POLITICS: ORGANIZING ACROSS RACE, CLASS AND GENDER 31, 31 (Nancy A. Naples ed., 1998) ("Referring to women's movements in the plural . . . reflects a deepening awareness of how the multitudinous forms of women's activism throughout the world all work to challenge patriarchal hierarchies."); BENITA ROTH, SEPARATE ROADS TO FEMINISM: BLACK, CHICANA AND WHITE FEMINIST MOVEMENTS IN AMERICA'S SECOND WAVE 1 (2004) AT 1 ("What I wish to do is develop a picture of second wave feminisms, feminisms that were plural and characterized by racial/ethnic organizational distinctiveness.")

⁹⁷ See, e.g., Nancy A. Hewitt, *Introduction* to NO PERMANENT WAVES: RECASTING HISTORIES OF U.S. FEMINISM 1, 1 (Nancy A. Hewitt ed. 2010) (explaining that the book "engages the ongoing debates over the adequacy of the 'wave' metaphor for capturing the complex history of women's rights" and "offer[s] fresh perspectives on the diverse movements that constitute U.S. feminism, past and present"); WOMEN'S ACTIVISM AND "SECOND WAVE" FEMINISM: TRANSNATIONAL HISTORIES (Barbara Molony & Jennifer Nelson eds., 2017) (containing chapters that, as its description states: "modify the 'wave' metaphor in some cases and in others re-periodize it"); Robyn Warhol, *Second-Wave Feminism and After*, in THE CAMBRIDGE HISTORY OF POSTMODERN LITERATURE 230, 231 (Brian McHale & Len Platt eds., 2016) ("dividing the movement into 'waves' oversimplifies the internal debates within feminism in each of its historical moments"); Verta Taylor, *Social Movement Continuity: The Women's Movement in Abeyance*, 54 AM. SOC. REV. 761, 761 (1989) ("This article uses social movement and organization theory to develop a set of concepts that help explain social movement continuity. The theory is grounded in new data on women's rights activism from 1945 to the 1960s that challenge the traditional view that the American women's movement died after the suffrage victory in 1920 and was reborn in the 1960s.").

⁹⁸ As with many other facets of feminist history, it has been forcefully argued that this

Beginning in the early 1960's and fizzling in the 1980s, many popular accounts of Second Wave feminism⁹⁹ have (overly) focused on movements for women's equality in the workplace, and women's empowerment and liberation more generally.¹⁰⁰ Because this popularly portrayed movement tended to focus primarily on the interests of white educated women, it has been termed by some as "mainstream white feminism"¹⁰¹ and by others as "hegemonic" feminism.¹⁰²

In reality, there was far more to feminism during the so-called Second Wave than the pursuit of the goals upon which some popularly portrayed movements focused — indeed it is more accurate to view feminism (within the "Second Wave" time period and in general) as consisting of a series of movements with varied agendas that focused on many different types of oppression.¹⁰³ And a thorough chronicle of what catalyzed and propelled

description is drastically oversimplified. See generally NANCY F. COTT, *THE GROUNDING OF MODERN FEMINISM* (1987) (arguing that once suffrage was attained, women were politically active in many other ways that are often overlooked in many popular accounts of the "first wave" of feminism). See also Taylor, *supra* note 97, at 761 (arguing that the first wave did not end with the attainment of suffrage).

⁹⁹ This term appears to have been first used, and thus coined, by Martha Weinman Lear. See Martha Weinman Lear, *The Second Feminist Wave*, N.Y. TIMES MAG., Mar. 10, 1968, at 24.

¹⁰⁰ See, e.g. Becky Thompson, *Multiracial Feminism: Recasting the Chronology of Second Wave Feminism*, 28 FEMINIST STUD. 336, 337 (2002) (expressing "increasing[] concern[]" about "version[s] of Second Wave history that Chela Sandoval refers to as 'hegemonic feminism.' This feminism is white led, marginalizes the activism and world views of women of color, focuses mainly on the United States, and treats sexism as the ultimate oppression. Hegemonic feminism deemphasizes or ignores a class and race analysis, generally sees equality with men as the goal of feminism, and has an individual rights-based, rather than justice-based vision for social change.").

¹⁰¹ See, e.g. ROTH, *supra* note 96, at 1 (discussing how women of color formed feminist movements that were "distinct from so-called mainstream white feminist groups.").

¹⁰² The term appears to have been first use by Chela Sandoval, *US Third-World Feminism: The Theory and Method of Oppositional Consciousness in the Postmodern World*, in FEMINIST POSTCOLONIAL THEORY: A READER 75, 75 (Reina Lewis & Sara Mills eds., 2003) (citing Gayatri Spivak, *The Rani of Sirmur*, in EUROPE AND ITS OTHERS 147 (Francis Barker ed., 1985)). See also Becky Thompson, *Multiracial Feminism: Recasting the Chronology of Second Wave Feminism*, 28 FEMINIST STUD. 336, 337 (2002) (discussing Sandoval's usage of the term);, Sherna Berger Gluck et al., *Whose Feminism, Whose History?: Reflections on Excavating the History of (the) U.S. Women's Movement(s)*, in COMMUNITY ACTIVISM AND FEMINIST POLITICS: ORGANIZING ACROSS RACE, CLASS AND GENDER 31, 31 (Nancy A. Naples ed., 1998) (same).

¹⁰³ Sherna Berger Gluck et al., *Whose Feminism, Whose History?: Reflections on Excavating the History of (the) U.S. Women's Movement(s)*, in COMMUNITY ACTIVISM AND FEMINIST POLITICS: ORGANIZING ACROSS RACE, CLASS AND GENDER 31, 31 (Nancy A.

feminism in the 1960s — 1980s would identify varied and diverse agents, ranging from leaders of the Black Power movement,¹⁰⁴ to those in the LGBTQ community,¹⁰⁵ to a variety of other activist and minority groups.¹⁰⁶

This Section will focus on what will be referred to, interchangeably, as the mainstream or hegemonic movements because of their direct relevance to this Article — the actors in these movements demanded reform of the tax laws to reflect the cost of childcare for working parents and had an apparent influence on their development. This focus is not meant to minimize the complexities of feminist history or the diversity of issues pursued by the equally diverse actors that pursued feminist goals during this time period. Nor does this focus reflect a judgment that the mainstream hegemonic movement was more important, influential or significant than other movements.

A discussion of the hegemonic movement's inception frequently includes

Naples ed., 1998) (“Referring to women’s movements in the plural . . . reflects a deepening awareness of how the multitudinous forms of women’s activism throughout the world all work to challenge patriarchal hierarchies.”); Becky Thompson, *Multiracial Feminism: Recasting the Chronology of Second Wave Feminism*, 28 FEMINIST STUD. 336, 337 (2002) (expressing “increasing[] concern[]” about “version[s] of Second Wave history that Chela Sandoval refers to as ‘hegemonic feminism.’ This feminism is white led, marginalizes the activism and world views of women of color, focuses mainly on the United States, and treats sexism as the ultimate oppression. Hegemonic feminism deemphasizes or ignores a class and race analysis, generally sees equality with men as the goal of feminism, and has an individual rights-based, rather than justice-based vision for social change.”).

¹⁰⁴ See, e.g., SHERIE M. RANDOLPH, FLORYNCE “FLO” KENNEDY: THE LIFE OF A BLACK FEMINIST RADICAL (2015). As one reviewer explained, “Most scholarship on postwar feminist organizing views black feminism as emerging largely in protest against exclusion by white feminists or in opposition to black power’s sexism. While several histories briefly list Flo Kennedy, they typically note her and other black feminists who worked in the movement as exceptions and offer little examination of their influence on second-wave feminism.” Duchess Harris, *Book Review*, 103 J. AM. HIST. 831, 831 (2016).

¹⁰⁵ See, e.g., Clark A. Pomerleau, *Empowering Members, Not Overpowering Them: The National Organization for Women, Calls for Lesbian Inclusion, and California Influence, 1960s–1980s*, 57 J. HOMOSEXUALITY 842, 842 (2010) (arguing that “[s]tandard accounts of the National Organization for Women (NOW) seriously underplay the duration of tensions between heterosexual and lesbian NOW members and the ways those tensions included both racialized analogies and tactical concerns”).

¹⁰⁶ See, e.g., BENITA ROTH, SEPARATE ROADS TO FEMINISM: BLACK, CHICANA AND WHITE FEMINIST MOVEMENTS IN AMERICA’S SECOND WAVE 1 (2004), (“What I wish to do is develop a picture of second-wave feminisms, feminisms that were plural and characterized by racial/ethnic organizational distinctiveness.”); Amanda Hess, *How a Fractious Women’s Movement Came to Lead the Left*, N.Y. TIMES MAG. (Feb. 7, 2017), <https://www.nytimes.com/2017/02/07/magazine/how-a-fractious-womens-movement-came-to-lead-the-left.html>.

Betty Friedan's (in)famous book titled *The Feminine Mystique*,¹⁰⁷ published in 1963. While the book has now been widely criticized for its non-inclusivity, it is still generally credited as creating a widespread awakening among some women — mainly white, upper-class women.¹⁰⁸ Identifying the so-called “problem that has no name,”¹⁰⁹ Friedan's book focused on the oppression felt by a certain echelon of women who, despite being highly educated and capable, had abandoned their aspirations of working in the public sphere for a life of domesticity (often after they married and had children). Friedan encouraged her readers to question the patriarchal gender norms that led them to this point.

The election of John F. Kennedy, Jr. in 1960 is also cited as a catalyst for (at least the) hegemonic feminist movements.¹¹⁰ President Kennedy, understanding the significant contribution the women's vote made to his successful election (and that he hoped it would play in his re-election), formed the President's Commission on the Status of Women (hereinafter, the “Women's Commission”), appointing Eleanor Roosevelt as Chairperson.¹¹¹ In forming the Women's Commission, President Kennedy stated that “[w]omen should not be considered a marginal group to be employed periodically only to be denied opportunity to satisfy their needs and aspirations when unemployment rises or a war ends.”¹¹² In other words, he rejected the views of Congressmen like Noah Mason who believed women should put their careers aside and be satisfied with their “married privileges”¹¹³ when the economy was sluggish. In so doing, Kennedy vowed that his Administration's policies would aim to “improve family incomes so that women c[ould] make their own decisions” about whether to work outside the home.¹¹⁴

In 1963, the Women's Commission issued a nearly hundred-page report,

¹⁰⁷ BETTY FRIEDAN, *THE FEMININE MYSTIQUE* (1963). See also Kira Cochrane, 1963: *The Beginning of the Feminist Movement*, *THE GUARDIAN* (May 7, 2013), <https://www.theguardian.com/lifeandstyle/2013/may/07/1963-beginning-feminist-movement> (“A US debate that had started tentatively with President John F Kennedy's 1961 commission on the status of women blew up with Friedan's book . . .”).

¹⁰⁸ See, e.g., bell hooks, *FEMINIST THEORY: FROM MARGIN TO CENTER* 96–99 (2015).

¹⁰⁹ FRIEDAN, *supra* note 107, at 15.

¹¹⁰ Cochrane, *supra* note 107.

¹¹¹ See John F. Kennedy, Statement by the President on the Establishment of the President's Commission on the Status of Women, 1961 PUB. PAPERS 799, 800 (Dec. 14, 1961) [hereinafter Kennedy Statement].

¹¹² *Id.* at 799.

¹¹³ *Supra* note 84 and accompanying text.

¹¹⁴ Kennedy Statement, *supra* note 111, at 799.

which made recommendations in six key areas, one of which was “Federal social insurance and tax laws as they affect . . . women.”¹¹⁵ At the time of the report (and as discussed in the previous Section), the maximum deduction for childcare expenses was \$600. This deduction was available to all single parent families, but only available to dual earner families earning less than \$5,100.¹¹⁶ But, the Report explained, the median income for dual earner families had risen to over \$7,100¹¹⁷ (appearing to use figures from 1961 rather than the higher 1963 figures, which reported the median income for dual earners at \$7,700). As a result, the Women’s Commission continued, “the majority of working couples” had become ineligible to claim deductions for childcare costs.¹¹⁸ The Women’s Commission recommended that “[t]ax deductions for child care expenses of working mothers . . . be kept commensurate with the median income of couples when both husband and wife are engaged in substantial employment”¹¹⁹ — *i.e.* the median income for dual earners.

The Kennedy Administration proposed that Congress adopt changes that closely approximated the Women’s Commission’s recommendations.¹²⁰ At the time, some expressed unhappy resignation to the fact that women were — and could reasonably be expected to continue — entering the paid, public workforce. For instance, the Women’s Commission’s own Committee on Home and Community (perhaps unsurprisingly given its name) “express[ed] the belief that child care services should be available and accessible to all women who choose to work . . . [though] found it . . . ‘regrettable’ that women with very young children sought employment.”¹²¹ But the rhetoric in Congress had changed from the fifties. Alongside these sentiments of resignation, were statements like those of Senator Maurine Neuberger who argued that all parents should be able to deduct working childcare expenses to accord with basic principles of tax equity, not to mention the just-passed

¹¹⁵ President’s Comm’n on the Status of Women, *American Women* 7 (1963). [hereinafter *American Women*].

¹¹⁶ I.R.C. § 214(b)(2) (1954) (the deduction for “[w]orking wives . . . shall be reduced by the amount (if any) by which the adjusted gross income of the taxpayer and her spouse exceeds \$4,500.”) Thus, the deduction would be reduced until income reached \$5,100 at which point it would be lost completely.

¹¹⁷ *AMERICAN WOMEN*, *supra* note 115, at 21.

¹¹⁸ *Id.*

¹¹⁹ *Id.* at 21–22.

¹²⁰ Nelson & Warring, *supra* note 18, at 225.

¹²¹ *Id.* at 225 (quoting *AMERICAN WOMEN*, *supra* note 115, at 19).

Equal Pay Act.¹²²

Congress's initial response, however, fell short of those suggested by the Women's Commission. On one hand, Congress did substantially raise the maximum deduction available to families with multiple children from \$600 to \$900 for multiple children (though did not adjust the \$600 cap for families with one child).¹²³ This adjustment more than compensated for inflation since 1954 (when the caps were last changed).¹²⁴ And while data about childcare costs in 1964 is spotty, one available study estimated that full-time mothers typically spent about \$16 per week on child care services, or about \$832 annually at that time.¹²⁵ This estimate suggests that the 1964 dollar caps fell in the neighborhood of the average cost of childcare for full-time mothers at that time.¹²⁶

On the other hand, Congress's adjustment to the childcare deduction's income phase-outs were tepid. As had been true, single parents — which now included a taxpayer that was a “woman or widower, or [wa]s a husband whose wife [wa]s incapacitated or [wa]s institutionalized”¹²⁷ — could still claim the deduction regardless of means. The point at which the deduction began to phase out for “working wives” — *i.e.* dual earners — was raised from \$5,100 to \$6,000.¹²⁸ (about 73% of the median income for dual earner

¹²² *Id.* at 228 (citing 109 CONG. REC. 18,730-31).

¹²³ Revenue Act of 1964, § 212, 78 Stat. at 49.

¹²⁴ \$900 in 1964 had same buying power generally as about \$784 dollars in 1954. See *CPI Inflation Calculator*, U.S. DEP'T OF LABOR, BUREAU OF LABOR STATISTICS, https://www.bls.gov/data/inflation_calculator.htm (calculated as of January of each relevant year).

¹²⁵ See Sharon M. McGroder, U.S. Dep't of Health & Human Servs., A Synthesis of Research on Child Care Utilization Patterns 21 (1988), <https://aspe.hhs.gov/system/files/pdf/74646/ccressyn.pdf> [hereinafter McGroder, Synthesis] (“In 1965, full-time mothers spent, on average, about \$54 per week on child care”) (citing Seth Low & Pearl G. Spindler, U.S. Dep't of Health, Educ., & Welfare & U.S. Dep't of Labor, Child Care Arrangements of Working Mothers in the United States 107 tbl.A-46 (1968)). This figure was reported in December 1984 dollars. *Id.* at 19 n.22. Thus, in January of 1964, the average cost would have represented about \$16 weekly or \$832 annually. See *CPI Inflation Calculator*, *supra* note 124. The authors who reported the underlying data estimated that most mothers paying for childcare at that time would have spent “between \$10 and \$19 a week” on child care, or between \$520 and \$988 annually. Low & Spindler, *supra*, at 3.

¹²⁶ See McGroder, Synthesis, *supra* note 125, at 21; REPORT OF THE TASK FORCE ON SOCIAL INSURANCE AND TAXES TO THE CITIZENS' ADVISORY COUNCIL ON THE STATUS OF WOMEN 99 (1968) (“the value of the present deduction of \$600 (or \$900) is such a small part of the total cost of providing even a minimum type of care that it gives little incentive to low-income mothers . . . to make arrangements for paying someone to provide such care.”).

¹²⁷ *Id.* (amending I.R.C. § 214(a)).

¹²⁸ Revenue Act of 1964, § 212, Pub. L. No. 88-272, 78 Stat. 19, 49 (1964) (amending

families in 1964, and about 91% of the median income for all families).¹²⁹ The deduction was lost entirely once income exceeded \$6,600 and \$6,900 for one and multiple children, respectively¹³⁰ (an amount which was, respectively, 81% and 85% of the median income for dual earners at the time, and about 100% of the median income for all families at the time).¹³¹ Once adjusted for inflation, the income phase-outs in the 1964 childcare tax laws were a bit steeper than their 1954 counterparts, which allowed “working wives” to claim the maximum deduction as long as her income did not exceed a threshold that was about 85% of the median income of dual earner couples in 1954¹³² and which did not phase out completely until her family earned roughly the median income for dual earners at the time.¹³³

Thus, like their predecessors, the 1964 childcare tax laws continued to tax dual earner families of above-moderate means inequitably compared to their one-breadwinner counterparts. But the childcare tax laws were about to experience an evolution, resulting in laws that taxed families with different childcare needs more equitably than they had done before (or have since).

B. The Seventies and Eighties: The Childcare Tax Law’s Evolution

Sympathetic lawmakers remained unsatisfied with the childcare tax laws. Reflecting this, between 1964 — 1971, two authors identify approximately 43 proposed bills (some proposed multiple times) that would liberalize the childcare tax laws — including “15 bills to increase the amount of the allowable deduction, 9 to raise the income ceiling . . . [and] 5 to change child care expenses from a personal to a business deduction.”¹³⁴

Beyond the halls of Congress, the public was starting to pay attention to the childcare tax provisions, too. In 1966, the National Organization for

I.R.C. § 214(b)(2)). The same phase-outs applied to “husbands with incapacitated wives.” *Id.*

¹²⁹ See CENSUS, HISTORICAL STATISTICS, *supra* note 22, at 296 tbl.G 179–188 (estimating median income in 1964 for dual earner couples at \$8,170 and for all families at \$6,569).

¹³⁰ Revenue Act of 1964, § 212, 78 Stat. at 49.

¹³¹ See CENSUS, HISTORICAL STATISTICS, *supra* note 22, at 296 tbl.G 179–188 (estimating median income in 1964 for dual earner couples at \$8,170 and for all families at \$6,569).

¹³² See *supra* note 91 and accompanying text.

¹³³ See *supra* notes 92 & 93 and accompanying text.

¹³⁴ Nelson & Warring, *supra* note 18, at 230.

Women (NOW) was founded by (among others) Betty Friedan.¹³⁵ The organization sought “true equality for all women” in “truly equal partnership with men”¹³⁶ and is widely remembered for the activism and demonstrations that ensued during the mainstream Second Wave movements’ flow. In its original Bill of Rights, NOW demanded eight reforms it believed were essential for American society to achieve women’s liberation and equality.¹³⁷ Among them, NOW demanded “[i]mmediate revision of tax laws to permit the deduction of home and child care expenses for working parents.”¹³⁸

NOW even demonstrated for the tax reform. In 1971, a recent widow by the name of Elizabeth Barrett argued in the U.S. Tax Court that she had a constitutional right to deduct childcare expenses she incurred while earning income for her family.¹³⁹ To support her case, NOW organized a “Baby Carriage Brigade,” a demonstration in which women brought strollers to protest what it viewed as a sexist tax code that allowed all sorts of business expenses to be deducted but did not allow mothers to recover the childcare expenses they needed to incur to participate in the paid, public sphere.¹⁴⁰ The demonstration’s slogan — “Are Children As Important As Martinis?”¹⁴¹ — poignantly captured a central question of tax policy: Why shouldn’t working mothers be able to deduct the costs of childcare while they are working in the same way that other taxpayers are allowed to deduct many other costs of earning income? Even the New York Times took interest, running a story entitled “One Working Mother Against the I.R.S.”¹⁴² to cover Elizabeth Barrett’s case (which she lost).¹⁴³

Demonstrations also found their way to the Congressional floors. In one particularly colorful moment, a Congressional committee rejected a proposal to expand the number of working mothers who could deduct childcare costs

¹³⁵ *Founding*, NAT’L ORG. FOR WOMEN (July 2011), <http://now.org/about/history/founding-2/>.

¹³⁶ BETTY FRIEDAN, NAT’L ORG. FOR WOMEN, STATEMENT OF PURPOSE (1966), <http://now.org/about/history/statement-of-purpose/>.

¹³⁷ See *NOW Bill of Rights*, *supra* note 25, at 473–75.

¹³⁸ *Id.* at 474.

¹³⁹ See *Nammack v. Comm’r*, 56 T.C. 1379, 1379-82 (1971), *aff’d mem.* 459 F.2d 1045 (2d Cir. 1972). The case refers to Ms. Barrett by her married name, Nammack.

¹⁴⁰ ROSEN, *WORLD SPLIT OPEN*, *supra* note 1, at xxiii.

¹⁴¹ *Id.*

¹⁴² Lisa Hammell, *One Working Mother Versus the I.R.S.*, N.Y. TIMES, May 20, 1971, at 36, <http://www.nytimes.com/1971/05/20/archives/one-working-mother-versus-the-irs.html>.

¹⁴³ *Nammack*, 56 T.C. at 1385.

on the same day it passed a tax break for oil companies.¹⁴⁴ One Representative who had supported the particular childcare tax bill arranged for two of his staffer's children to appear in oil well costumes in the committee room, mordantly suggesting that children needed to look like oil wells to receive proper attention.¹⁴⁵

As the sixties turned into the seventies, the labor force participation of white married women continued to rise.¹⁴⁶ African American and other minority women had long been in the workforce,¹⁴⁷ but it was the movement of white married women into the external workforce that seemed to finally attract the notice of lawmakers when it came to the childcare tax laws. The 1970s witnessed dramatic changes to these laws.

The 1971 childcare tax laws shed the gendered language used by their predecessors, now granting the deduction to any "individual who maintains a household which includes as a member one or more qualifying individuals," which included children younger than 15 years of age along with certain other physically incapable dependents.¹⁴⁸ In doing so, it eliminated the distinction between single parents (*e.g.* unmarried women and widowers) and dual earners (*e.g.* working wives), which had existed in previous versions of the childcare tax laws. Thus, the same dollar limitations and income phase-outs applied to all families, even single parents to which phase-outs had not previously applied.

At the same time, Congress tripled the income beyond which the phase out would begin to \$18,000¹⁴⁹ — an amount that represented more 150% of the median income for both dual earner and all American households at the

¹⁴⁴ See Nelson & Warring, *supra* note 18, at 248–49.

¹⁴⁵ See *id.*

¹⁴⁶ Chinhui Juhn & Simon Potter, *Changes in Labor Force Participation in the United States*, J. ECON. PERSPECTIVES, Summer 2006, at 27, 34 ("Thus, the dramatic rise in female participation that occurred during the 1970s and the 1980s was largely due to changing behavior among married white women with children — women who in 1970 were most likely to be part of a 'traditional' household with the husband as wage earner and the wife as the homemaker.").

¹⁴⁷ *Id.* at 33–34 & tbl.2; see also LANDRY, *supra* note 12 at 79–81.

¹⁴⁸ Revenue Act of 1971, § 210, Pub. L. No. 92-178, 85 Stat. 497, 518 (1971). Congress also expanded the types of expenses that could be deducted to include other "household services." *Id.*

¹⁴⁹ Revenue Act of 1971, § 210, Pub. L. No. 92-178, 85 Stat. 497, 518 (1971).

time¹⁵⁰ and over \$109,000 in today's dollars.¹⁵¹ Once a taxpayer's income exceeded that threshold, the deduction was phased down.¹⁵² The laws, somewhat oddly, differentiated between in-home and out-of-home care. For in home care, the deduction was lost completely once a family earned \$27,600¹⁵³ (close to \$170,000 in today's dollars).¹⁵⁴ For taxpayers utilizing care outside the home, the deduction was lost completely once income exceeded \$22,800, \$25,200, and \$27,600 for one, two and three or more children respectively¹⁵⁵ (or about \$140,000, \$154,000 and \$170,000 in today's dollars).¹⁵⁶ These amounts were far more than double the median income for all American and dual earner households in 1971.¹⁵⁷

Congress also raised the maximum allowable deduction significantly. Eligible families could deduct up to \$4,800 in expenses for in-home care, an

¹⁵⁰ U.S. Dep't of Commerce, Current Population Reports: Consumer Income P60-083, Money Income in 1971 of Families and Persons in the United States 1 (1972) (reporting \$10,290 median income for all families). For dual earners, it was reported that the 1970 median income was \$23,746 in 1980 dollars. U.S. Dep't of Commerce, Statistical Abstract of the United States 1982-83, 436 tbl.720 (1982). That amount would be the rough equivalent \$11,537 in 1970 dollars. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁵¹ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January 2017 of each relevant year).

¹⁵² Revenue Act of 1971, § 210, 85 Stat. at 518–19 (amending I.R.C. § 214(d) to read, “If the adjusted gross income of the taxpayer exceeds \$18,000 for the taxable year during which the expenses are incurred, the amount of the employment-related expenses incurred during any month of such year which may be taken into account under this section shall (after the application of sub-sections (e)(5) and (c)) be further reduced by that portion of one-half of the excess of the adjusted gross income over \$18,000 which is properly allocable to such month. For purposes of the preceding sentence, if the taxpayer is married during any period of the taxable year, there shall be taken into account the combined adjusted gross income of the taxpayer and his spouse for such period.”).

¹⁵³ See *id.* (amending I.R.C. § 214(c)(1) & (2)(A) to cap the deduction at \$400 per month — or \$4,800 annually — for in-home expenses). Thus, under amended I.R.C. § 214(d), the deduction was completely lost once a taxpayer's income exceeded \$27,600 (half of the difference between \$27,600 and \$18,000 equals \$4,800).

¹⁵⁴ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁵⁵ See Revenue Act of 1971, § 210, 85 Stat. at 518–19 (amending I.R.C. § 214(c)(2)(B) to cap the deduction for services rendered outside the home at \$200, \$300, and \$400 for one, two, or three or more children, respectively). The phasedown in amended § 214(d) would have completely eliminated the deduction at the identified income levels (calculated using the same method described *supra* note 154).

¹⁵⁶ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁵⁷ See *supra* note 150.

eight-fold increase from previous dollar caps,¹⁵⁸ which is equivalent to nearly \$30,000 in today's dollars.¹⁵⁹ Families utilizing providers outside of their homes (*e.g.* day care) could deduct up to \$2,400, \$3,600, and \$4,800 for one, two and three or more children, respectively.¹⁶⁰ While reliable data about childcare costs remains difficult to find during this time period, this cap represents about \$15,000, \$22,000 and \$30,000 in today's dollars, which would seem to have quite soundly covered the cost of annual care for most families.¹⁶¹

Congress adjusted the income-phase outs even further in 1975, granting the full deduction to taxpayers whose income did not exceed \$35,000¹⁶² — about double the median income for dual earner households at the time¹⁶³ and an amount that is about \$163,000 today.¹⁶⁴ The deduction phased out completely at higher income levels. For in-home care, the deduction was totally lost once income exceeded \$44,600¹⁶⁵ (about \$208,000 today).¹⁶⁶ It

¹⁵⁸ Compare Revenue Act of 1971, § 210, 85 Stat. at 518 (amending I.R.C. § 214(c)(1) to allow deduction of up to \$4,800 for in-home care) with Revenue Act of 1964, § 212, Pub. L. No. 88-272, 78 Stat. 19, 49 (1964) (amending I.R.C. § 214(b)(1) to allow deduction of up to \$600 for one child or \$900 for multiple children).

¹⁵⁹ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁶⁰ See Revenue Act of 1971, § 210, 85 Stat. at 518 (creating limits of \$200, \$300 and \$400 a month under I.R.C. § 214(c)(2)(B) for care provided outside of the taxpayer's home to one, two and three or more children, respectively).

¹⁶¹ See MCGRODER, SYNTHESIS, *supra* note 125, at 19 n.22, 21 (finding that “By 1975, [full-time mothers’] average [childcare] cost was \$46” weekly, or approximately \$2,400 annually, in December 1984 dollars) (citing UNCO, INC., NAT’L DAY CARE CONSUMER STUDY: 1975, 8–14 & tbl.VIII-7 (1975)). In January 1965 dollars, that figure would have been about \$14 weekly, or \$728 annually. See *CPI Inflation Calculator*, *supra* note 124. In January 2017 dollars, it would have been about \$106 weekly, or \$5,512 annually. See *id.*

¹⁶² Tax Reduction Act of 1975, § 206, Pub. L. No. 94-12, 89 Stat. 26, 32 (1975).

¹⁶³ See U.S. Dep’t of Commerce, Current Population Reports: Consumer Income P60-101, Money Income and Poverty Status of Families and Persons in the United States: 1975 and 1974 Revisions 9 tbl.1 (1976) (median income in 1975 for dual earner couples only \$17,237).

¹⁶⁴ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁶⁵ I.R.C. § 214(d) (Supp. V 1975) (reducing allowable deduction by one half of adjusted gross income exceeding \$35,000). Because the maximum deduction was \$400 per month, or \$4,800 annually, see *id.* § 214(c)(1), a family earning \$9,600 more than the income cap (*i.e.*, \$44,600) would earn enough to phase out the deduction completely.

¹⁶⁶ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each

phased out completely for out-of-home care for one, two and three or more children once income exceeded \$39,800, \$42,200 and \$44,600, respectively¹⁶⁷ (or \$185,500, \$197,000 and \$208,000 in current dollars, respectively).¹⁶⁸ These amounts represented more than 230% of the median income for dual earners in 1975.¹⁶⁹

These changes greatly increased the number of households eligible to deduct childcare expenses. And generous dollar caps seemed likely to allow these families to recover most — if not all — of their annual expenses. But there was, for liberal lawmakers, another pressing problem. The childcare tax laws provided relief as a so-called itemized (“below the line”) deduction. In general, taxpayers may choose to deduct either the aggregate of their itemized deductions or a pre-designated standard deduction. Because families in lower income classes are far more likely to use the standard deduction,¹⁷⁰ lawmakers were concerned that they were not benefitting from the newly liberalized childcare tax laws.¹⁷¹

This problem could be solved directly and cleanly by moving the deduction “above-the-line” — or, more formally, allowing the deduction to reduce a taxpayer’s adjusted gross income. Unlike itemized (below the line) deductions, these deductions are claimed by all taxpayers with sufficient income to absorb them. But this suggestion made less sympathetic policymakers queasy.¹⁷² Above the line deductions are generally reserved for costs of earning income. And these policymakers did not want to put childcare expenses on par with these costs.¹⁷³ Thus, efforts to move the childcare deduction from below to above the line repeatedly failed.

Congresspersons advocating for the change conceived a clever work

relevant year).

¹⁶⁷ See I.R.C. § 214(c)(2) (Supp. V 1975) (capping deduction at \$200, \$300, or \$400 per month for one, two, or three or more children, respectively). The phase out would thus eliminate the deduction for families earning \$4,800, \$7,200, or \$9,600 more than the annual income cap, depending on the number of children. See *id.* § 214(d).

¹⁶⁸ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁶⁹ See *supra* note 163.

¹⁷⁰ See, e.g., SEAN LOWRY, CONG. RESEARCH SERV., ITEMIZED TAX DEDUCTIONS FOR INDIVIDUALS: DATA ANALYSIS 2–3 (2014) (of the 32% of filers that choose to itemize, a higher percentage of high income filers itemize compared to lower income filers).

¹⁷¹ Nelson & Warring, *supra* note 18, at 243–44.

¹⁷² *Id.* at 244.

¹⁷³ I have argued that taxpayers should be able to deduct childcare costs above the line elsewhere. See generally Weeks McCormack, *Overtaxing the Working Family*, *supra* note 9.

around which would, mathematically, achieve something close to the desired result — *i.e.* allow even families that claimed the standard deduction to benefit from the childcare tax laws — while settling the stomachs of lawmakers who did not want working childcare expenses to fall above the line with other business expenses.¹⁷⁴ These lawmakers proposed to change the itemized childcare deduction to a percentage dollar-for-dollar credit, so that all taxpayers with sufficient tax liability could claim relief.¹⁷⁵

Here is how it would work. Suppose that a taxpayer is able to claim a deduction of \$100, allowing her to reduce her taxable income by that amount. The tax savings she will enjoy from this deduction depends on her marginal tax bracket (*i.e.* the rate at which an additional dollar of her income will be taxed). If she is in a 30% marginal tax bracket, she will save \$30 in taxes from the hypothetical \$100 deduction. If she is in a 20% marginal tax bracket, she will save \$20, and so on.

Credits work differently. Rather than reducing one's taxable income (to which one then applies applicable tax rates to calculate one's actual tax liability on that income) credits reduce one's actual tax liability dollar for dollar — that is, after one has applied applicable rates to their taxable income, credits reduce the final liability amount. Thus, a credit of \$100 results in \$100 of tax savings. Lawmakers proposed to make the itemized, childcare tax deduction a percentage credit to approximate the value of the deduction while also allowing families that did not itemize to benefit. For instance, a 30% credit of \$100 would be mathematically equivalent to a \$100 deduction for a taxpayer in a 30% marginal tax bracket.

The idea had legs. In 1976 Congress passed a new law that changed the childcare deduction to a percentage credit¹⁷⁶ and, while doing so, eliminated income limitations altogether. Specifically, Congress allowed all working parents (single or married) to claim a 20% credit regardless of whether they itemized and regardless of means.¹⁷⁷ At the same time, dollar limitations were adjusted. The dubious distinction that had surfaced in the 1971 and 1975 versions of the laws between in-home and out-of-home care was eliminated.

¹⁷⁴ See S. REP. NO. 94-938, pt. 1, at 14 (1976) (“The amendment converts the deduction into a 20-percent credit, so that it will be available to those who use the standard deduction as well as to itemizers”)

¹⁷⁵ *Id.*

¹⁷⁶ Tax Reform Act of 1976, § 504, Pub. L. No. 94-455, 90 Stat. 1520, 1563–65 (1976) (establishing dependent care credit, codified at I.R.C. § 44A (1976), and repealing I.R.C. § 214).

¹⁷⁷ See I.R.C. § 44A (1976).

Under the new law, qualifying taxpayers could claim the percentage credit against up to \$2,000 and \$4,000 in expenses for one and multiple children, respectively.¹⁷⁸ This was substantially less, once inflation adjustments are made, than the dollar caps of its 1971 and 1975 counterparts.¹⁷⁹ Nevertheless, these amounts represented nearly \$9,000 and \$18,000 in today's dollars,¹⁸⁰ so that the cap probably covered a substantial portion of even early childcare expenses at the time.

The 1976 childcare tax laws had changed significantly from their 1954 predecessors. First, the clever workaround — *i.e.* the percentage credit — ensured that all taxpayers, regardless of whether they itemized their deductions could benefit. Second, by eliminating income limitations, these laws provided aid not only to those mothers that needed to work but also those that chose to work. Third, this was not an oversight. Congress explicitly rejected phase-outs, expressing its belief that working childcare expenses were “cost[s] of earning income” and thus not the type of expenses that should be based on income level.¹⁸¹ This is probably the closest the Code has ever come to treating working childcare expenses like other costs of earning income. And in doing so, it drastically reduced the inequitable taxation that had resulted from previous childcare tax laws, no longer favoring the one-breadwinner model even for married parents of above-moderate means.

In 1981 Congress made two notable changes to the childcare tax credit. First, Congress increased the percentage credit available for families of lower incomes. Families earning less than \$10,000¹⁸² (52% of the median income at the time, and just 37% of the median income for dual earner families)¹⁸³

¹⁷⁸ *Id.* § 44A(d).

¹⁷⁹ For comparison, \$2,000 in 1976 would have been worth the same as about \$1,900 in 1975 and \$1,400 in 1971, while \$4,000 would have been worth about \$3,700 and \$2,900, respectively. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year). In 1971 and 1975, however, the expense cap was \$4,800. See *supra* notes 149–169 and accompanying text.

¹⁸⁰ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁸¹ See S. REP. NO. 94-938, pt. 1, at 133 (1976) (“The committee views qualified child care expenses as a cost of earning income and believes that an income ceiling on those entitled to the allowance has minimal revenue impact, if the allowance is in the form of a credit. Therefore, it considers it appropriate and feasible to eliminate the income phaseout and to allow all taxpayers to claim such expenses regardless of their income level.”).

¹⁸² See Economic Recovery Tax Act of 1981, Pub. L. No. 97-34, § 124(a), 95 Stat. 172, 197–98 (1981) (codified at I.R.C. § 44A (1982)).

¹⁸³ See *Census Historical Income Tables*, *supra* note 55, tbl.H-12 (reporting 1981 median income for all households as \$19,074); U.S. DEP’T OF COMMERCE, CURRENT POPULATION REPORTS, CONSUMER INCOME P60-137, MONEY INCOME IN THE UNITED

could claim a credit of 30% of their childcare expenses (up from 20%).¹⁸⁴ After a family earned more than \$10,000 the percentage was reduced but could never go below 20% (the percentage allowed by the 1976 laws).¹⁸⁵ Families earning more than \$30,000 — more than 150% of the median income for all families and 110% of median income for dual earner families,¹⁸⁶ and about \$84,000 in today's dollars¹⁸⁷ — could claim a 20% credit, as they could have under prior laws. At the time, these changes allowed an increased credit for lower income families while leaving the twenty percent credit for relatively wealthier taxpayers intact. But as just discussed, Congress had rejected income phase-downs just six years previously, reasoning that they were inappropriate because childcare costs reflected expenses of earning income that should be recoverable by taxpayers regardless of their means.¹⁸⁸

Second, Congress raised the dollar limitations on the childcare credit, allowing families to take the credit against \$2,400 (up from \$2,000) and \$4,800 (up from \$4,000) of childcare expenses for one and multiple children, respectively.¹⁸⁹ The increase did not fully reflect inflation over the preceding six years.¹⁹⁰ But when adjusted to current dollars, it is still worth about \$6,700 and \$13,400, well over double today's dollar caps.¹⁹¹

In 1981, Congress also added another provision to the Code that would help working families bear the costs of childcare.¹⁹² The first version of new

STATES: 1981, 2 tbl.A (1983) (reporting that dual earner families in 1981 earned a median of about \$26,860).

¹⁸⁴ See I.R.C. § 44A(a) (1982).

¹⁸⁵ See *id.*; I.R.C. § 44A(a) (1976).

¹⁸⁶ See *supra* note 183.

¹⁸⁷ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁸⁸ See *supra* note 181.

¹⁸⁹ Compare I.R.C. § 44A(d) (1982) with I.R.C. § 44A(d) (1976).

¹⁹⁰ In 1981 dollars, the equivalent of the \$2,000 and \$4,000 caps in place in 1976 would have been over \$3,000 and \$6,000, respectively. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁹¹ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year). The caps presently in force are \$3,000 for one child and \$6,000 for two or more children. I.R.C. § 21(c) (2012).

¹⁹² See Economic Recovery Tax Act of 1981, Pub. L. No. 97-34, §124(e), 95 Stat. 172, 198–201 (1981) (codified as I.R.C. § 129 (1982)). See also Erin L. Kelly, *The Strange History of Employer-Sponsored Child Care: Interested Actors, Uncertainty, and the Transformation of Law in Organizational Fields*, 109 AM. J. SOC. 606, 617–18 (2003).

Section 129 allowed taxpayers to exclude from their taxable income the value of employer-provided childcare benefits, such as on-site daycare.¹⁹³ Section 129 was originally enacted to encourage employers to establish such facilities.¹⁹⁴ But benefits consultants quickly used their creativity to expand the scope of Section 129 and allow employees to divert a portion of their salary to so-called Dependent Care Account Plans (DCAP plans, described in Section I.A) established by their employer free of tax.¹⁹⁵

Congress, through a 1986 statutory amendment, approved of this expansion, allowing taxpayers to put funds into qualifying accounts free of tax that would be used to pay for childcare costs incurred while working.¹⁹⁶ At the same time, Congress set the dollar limit for the exclusion at \$5,000¹⁹⁷ — *i.e.* the amount employees could exclude if their employer provided in-kind childcare services or if they diverted a portion of their salary to an employer-provided DCAP plan — which represents over \$11,000 in today's dollars.¹⁹⁸ At this point, families could claim the childcare benefits worth most to them, though they could not double up on benefits.¹⁹⁹

Thus, as the eighties waxed towards the nineties, the Code allowed all families to recover a substantial part of their childcare costs and taxed families with different childcare needs far more equitably than it had done in the past. The story of how the United States went from having the relatively

¹⁹³ See I.R.C. § 129(a), (d) (1982).

¹⁹⁴ Kelly, *supra* note 192, at 608 (“The 1981 tax law that eventually led to the establishment of dependent care expense accounts actually was intended by its congressional advocates to encourage employers to create new child care centers.”); Ron Lieber, *Dependent Care Accounts, Hamstrung by Limits, Are Still Worth Exploring*, N.Y. TIMES, Nov. 7, 2014, <https://www.nytimes.com/2014/11/08/your-money/taxes/dependent-care-accounts-hamstrung-by-a-28-year-old-limit-are-still-worth-exploring.html> (“Congress laid the groundwork for the dependent care accounts in 1981, though it didn’t actually mean to do so. As Erin L. Kelly, a sociology professor at the University of Minnesota, chronicled in an aptly titled academic article called ‘The Strange History of Employer-Sponsored Child Care,’ legislators were actually trying to encourage employers to start on-site day care centers or directly subsidize workers’ child care costs.”).

¹⁹⁵ See *id.* at 608–09 (“Benefits consultants creatively linked dependent care expense accounts to another new program they were trying to market, ‘cafeteria plans’ or flexible benefits programs.”).

¹⁹⁶ See Tax Reform Act of 1986, Pub. L. No. 99-514, § 1151(f), 100 Stat. 2085, 2506 (1986) (amending I.R.C. § 129(d) to accommodate “benefits provided through a salary reduction agreement”).

¹⁹⁷ *Id.* § 1163, 100 Stat. at 2510 (capping amount of exclusion permitted under I.R.C. § 129(a)(2)).

¹⁹⁸ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

¹⁹⁹ I.R.C. § 129(e)(7) (1982) (disallowing other deductions or credits “for any amount excluded from . . . gross income . . . by reason of this section”).

liberal childcare tax laws described in Section II.B. to the restrictive, present day tax laws described in Section II.A. is superficially straightforward: Congress basically did nothing with them for the last three-plus decades before the Tax Cuts and Jobs Act was passed and then did nothing with them in the Tax Cuts and Jobs Act either. The next Section of this Article explores this (d)evolutionary period in depth.

III. DECADES OF STAGNATION: THE CHILDCARE TAX LAW'S (D)EVOLUTIONARY PERIOD

This Section explores the childcare tax laws' (d)evolutionary period — *i.e.* the period starting in the mid-eighties and running through the present day. It proceeds as follows. The first Part shows that while lawmakers have submitted hundreds of proposals to increase childcare tax benefits since the mid-eighties, Congress has failed to even adjust these benefits for inflation, keeping them nominally static. But since childcare costs have risen to (at least) reflect inflation, these benefits have steadily lost real value. And by leaving the childcare tax laws untouched, the TCJA ensured that this erosion will continue, allowing the inequitable taxation of families with different childcare needs to deepen.

The second Part of this Section focuses on other parental tax reforms made since the mid-eighties (but pre-dating the TCJA), which resulted in a significant shift in the way the Code taxes parents. Rather than adjusting childcare tax benefits during these decades, Congress instead enacted new and expanded other existing tax benefits for parents, none of which depend on whether or to what extent childcare expenses are incurred to work outside the home. Thus, while the reforms discussed in the previous Section reduced the inequitable taxation of otherwise similarly situated families with different childcare needs, the reforms that occurred since the mid-eighties restored and perpetuated these inequities. The third Part tracks the changes made by the TCJA, revealing that Congress simply kept treading the same well-worn path it has used since the mid-eighties.

A. *The Erosion of Childcare Tax Benefits: Inaction is Action*

Since Section 129 was enacted, Congress has never once changed the maximum exclusion available (\$5,000).²⁰⁰ That's over three decades in which

²⁰⁰ See Lieber, *supra* note 194 (“But the dependent care account that employers offer alongside the health one, the one that goes toward child care and other expenses? Next year,

the cap has not even been indexed for inflation, despite the fact that childcare costs are certainly rising with (and perhaps faster than) inflation. Since 1981, the childcare credit's dollar caps and income phase-downs have changed exactly once and not by very much. In 2001 — that's twenty years after the last change — Congress allowed families to take a percentage credit of childcare expenses up to \$3,000 (up from \$2,400) and \$6,000 (up from \$4,800) for one and multiple children, respectively.²⁰¹ This adjustment did not even fully reflect inflation between 1981 and 2001.²⁰² It remains at this level today, untouched by the Tax Cuts and Jobs Act.

In 2001, Congress also modified the percentage credit mechanism. Since 1981, families earning less than \$10,000 could claim a maximum 30% credit, and the percentage phased down to a minimum of 20% as income increased.²⁰³ The 2001 laws allowed families earning less than \$15,000 (about 35% of the median income in 2001)²⁰⁴ to credit 35% of their childcare expenses.²⁰⁵ The credit phased down to its minimum 20% once income reached \$43,000,²⁰⁶ which was right about the median income for all households in 2001.²⁰⁷ These thresholds have not been changed in the fifteen years since and were also untouched by the Tax Cuts and Jobs Act.

A tabular representation of some of the most critical moments in the chronology provided in this and the preceding Section helps make comparisons:

the contribution limit will stay at \$5,000, right where it was in 2014. And 2013. And every single year since Congress set the original limit in 1986.”).

²⁰¹ Compare Economic Growth and Tax Relief Reconciliation Act of 2001, Pub. L. No. 107-16, § 204(a), 115 Stat. 38, 49 (2001) (amending I.R.C. § 21(c) (2000)) with I.R.C. § 44A(d) (1982).

²⁰² According to the *CPI Inflation Calculator* provided by the Bureau of Labor Statistics, the value of \$2,400 in 1981 is equivalent to over \$4,000 in 2001. The value of \$4,800 in 1981 is equivalent to over \$9,000 in 2001. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

²⁰³ See I.R.C. § 44A(a) (1982).

²⁰⁴ The 2001 median household income in the United States was \$42,228. CARMEN DENAVAS-WALT & ROBERT CLEVELAND, U.S. Dep't of Commerce, Current Population Reports, Consumer Income P60-218, MONEY INCOME IN THE UNITED STATES: 2001, 1 (2002), <https://www.census.gov/content/dam/Census/library/publications/2002/demo/p60-218.pdf>.

²⁰⁵ Economic Growth and Tax Relief Reconciliation Act of 2001, § 204(b), 115 Stat. at 49 (amending I.R.C. § 21(a)(2) (2000)).

²⁰⁶ See I.R.C. § 21(a) (2000 & Supp. I 2001).

²⁰⁷ DENAVAS-WALT & CLEVELAND, *supra* note 204, at 1.

	1954 ²⁰⁸	1964 ²⁰⁹	1976 ²¹⁰	1981 ²¹¹	Present ²¹²
Mechanism	Deduction	Deduction	20% credit	30% - 20% credit	35% - 20% credit
Dollar Cap (in 2017 dollars) ²¹³ One/Multiple Children	\$5,400/ N/A	\$4,700/ \$7,000	\$9,000/ \$18,000	\$6,700/ \$13,400	\$3,000/ \$6,000
Phase out/down?	Complete phase out	Complete phase out	None	Phase down to 20%	Phase down to 20%
Phase-out/down starting point (% median income dual earners/all families at time)	Single/ widowed: N/A	Single/ widowed: N/A	N/A	37%/52% dual/all	16%/25% dual/all
	Dual earners: 85%/ ~ 100%	Dual earners: 73%/91%			
Phase-out complete (% median income dual earners/all families at time)	Single/ widowed: N/A	Single/ widowed: N/A	N/A	20% once over 110%/150%	20% once over 45%/73%
	Dual earners: ~ 100%/ 122%	Dual earners: 81-85%/ ~ 100%			
Other mechanisms?	N/A	N/A	N/A	Exclusion	Exclusion
Dollar cap	N/A	N/A	N/A	N/A (earned income limitations)	\$5,000

As this table shows, today's childcare tax laws contain dollar ceilings that are lower than they have been at many points in history (once dollars are adjusted to a constant value). In fact, during the critical junctures explored in the previous Sections and tabulated above, only one exception appears — current Section 21's dollar cap for multiple children is worth about \$600 more

²⁰⁸ See *supra* notes 87–93 and accompanying text.

²⁰⁹ See *supra* notes 128–130 and accompanying text.

²¹⁰ See *supra* notes 176–178 and accompanying text.

²¹¹ See *supra* notes 182–196 and accompanying text.

²¹² See *supra* notes 48–61 and accompanying text.

²¹³ Adjusted using *CPI Inflation Calculator*, *supra* note 124, as of January of each relevant year.

than it was in 1954, in adjusted dollars.²¹⁴ And current dollar caps are far less generous than they were in the seventies and eighties.

But, of course, the real question is how the tax relief available to working parents has changed. As discussed, in 1976 the childcare tax laws provided only a percentage credit (and not the later-enacted exclusion) and benefits did not phase-out or down. All families could therefore claim a credit worth \$1,800 and \$3,600 current dollars for one and multiple children, respectively.²¹⁵ Today, however, the credit does phase down, allowing taxpayers in the lowest income brackets to claim a maximum credit of \$1,050 and \$2,100 for one and multiple children, respectively.²¹⁶ Thus, even the poorest taxpayers able to claim childcare tax benefits today — *i.e.* those at the top of the phase-out range — are entitled to less relief than their counterparts were in 1976.²¹⁷

As discussed in Section I.A., the bottom of the phase down range of today's childcare tax credit hits quickly. Families that earn more than \$43,000 may claim a maximum credit of \$600 and \$1,200 for one and multiple children, respectively.²¹⁸ Some taxpayers may be eligible to instead (or also) claim Section 129's \$5,000 exclusion for amounts diverted into Dependent Care Flexible Spending Accounts (an option that was not available until 1986).²¹⁹ The tax benefit to which any particular family is entitled under Section 129 depends on its marginal tax bracket. Using 2016 rates, those earning enough income to find themselves in the top marginal tax bracket (*e.g.*, about \$467,000 if married filing jointly)²²⁰ could enjoy a maximum benefit from the childcare tax laws of \$1,980 and \$2,180 for one and multiple children, respectively.²²¹ Thus, wealthy families with one child requiring care will benefit more under today's childcare tax laws than their counterparts did in 1976. They will benefit significantly — approximately \$1,400 in adjusted dollars — less if care for multiple children is required.

How do families in the middle classes fare today compared with their

²¹⁴ The most notable difference is that the 1954 laws failed to differentiate by number of children, so that the dollar cap for multiple children under current Section 21 is \$6,000 whereas the 1954 laws allowed a maximum of about \$5,416 current dollars for any number of children.

²¹⁵ See *supra* notes 177–180 and accompanying text.

²¹⁶ See *supra* note 54 and accompanying text.

²¹⁷ *Id.*

²¹⁸ See *supra* notes 57–59 and accompanying text.

²¹⁹ See *supra* note 52.

²²⁰ Rev. Proc. 2015-53, 2015-44 I.R.B. 615 (promulgating 2016 tax rates).

²²¹ See *supra* notes 48–61 and accompanying text.

1976 counterparts? As income declines, a family will benefit less from the exclusion and at some point should forego claiming it in lieu of the childcare tax credit, because they will benefit more from doing so. The median income in 2016 for all families was \$59,039.²²² After claiming the standard deduction and personal exemptions to which they were entitled that year, a family of either three or four earning the median income and that is married and files jointly will benefit more from the childcare tax credit, as their marginal tax bracket (15%) is not yet high enough to make the exclusion more valuable.²²³ But the childcare tax credit's phase down is so steep due to years of neglect that these middle class dual earners will have hit the bottom of the range, and receive a maximum benefit of \$600 and \$1,200 for one and multiple children, respectively.²²⁴

A single parent earning the median income that claims head of household status in 2016 will be in a similar situation, also benefitting more from the credit than the exclusion, entitling her to a maximum tax savings of \$600 and \$1,200 for one and multiple children, respectively.²²⁵ Thus, in 2016, families earning the median income and filing either as heads of household or married filing jointly will be able to claim childcare tax relief worth only one-third of what it was worth in 1976.

Those earning the median income for dual earners also fare worse than their 1976 counterparts. In 2016, the median income for dual earners was \$94,679.²²⁶ These taxpayers would have reached a marginal tax bracket (25%) that makes the exclusion more valuable than the credit, allowing them to claim a maximum benefit of \$1,250 and \$1,450 for one and multiple children, respectively.²²⁷ Thus, these taxpayers fare better than those at the median income for all earners, but still receive significantly fewer childcare

²²² See *supra* note 55.

²²³ See Rev. Proc. 2015-53, 2015-44 I.R.B. 615 (promulgating 2016 tax rates); *supra* note 60.

²²⁴ See *supra* notes 55–59 and accompanying text.

²²⁵ See Rev. Proc. 2015-53, 2015-44 I.R.B. 615 (promulgating 2016 tax rates); *supra* notes 55-60 and accompanying text.

²²⁶ See *supra* note 55.

²²⁷ See *supra* note 60. More specifically, in 2016, couples that are married filing jointly will benefit more from the exclusion than the credit once their taxable income exceeds \$75,301 and parents filing as head of household once their taxable income exceeds \$50,401. See Rev. Proc. 2015-53, 2015-44 I.R.B. 615 (promulgating 2016 tax rates). The maximum benefit in this scenario is calculated in the same manner as described *supra* note 61, but at a 25% marginal rate instead of the 39.6% rate used in that example.

tax benefits than their counterparts received in 1976 (*i.e.* married couples that earned the median income for dual earners in 1976). This is particularly true if more than one child requires care, at which point the maximum childcare tax relief available today is less than half of what it was for similarly situated families in 1976.

In 1981, the childcare tax credit included a phase-down and while the dependent care exclusion was enacted that year, it only allowed for the exclusion of in-kind benefits (*e.g.* employer-provided daycare) but not for the exclusion of income diverted into an FSA (which was allowed in 1986 by statutory amendment). In 1981, the maximum credit available to taxpayers earning under \$10,000 (a bit over 50% of the median for all earners at the time)²²⁸ was worth \$2,010 and \$4,020 current dollars for one and multiple children, respectively.²²⁹ At the bottom of the phase down range, the maximum credit available was \$1,340 and \$2,680 for one and multiple children, respectively.²³⁰

Today, families that have reached the lowest point of the phase down range can claim a maximum credit of \$600 and \$1,200 for one and multiple children, respectively.²³¹ As discussed, however, wealthier families will benefit more from claiming the exclusion, assuming it is available. If they do, their maximum benefits will be \$1,980 and \$2,180 for one and multiple children, respectively.²³² Thus, the wealthiest taxpayers are actually entitled to more childcare tax relief for a single child today than they were in 1981. However, they are entitled to about \$500 less relief if care is required for multiple children.

²²⁸ See *supra* note 183 and accompanying text.

²²⁹ See I.R.C. § 44A(a), (d) (1982) (maximum credit was 30% of \$2,400 for one child or \$4,800 for multiple children, which equates to \$720 or \$1,440 in 1981 dollars). In today's dollars, these amounts are \$2,010 and \$4,020. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

Today's median income is \$59,039. See *supra* note 55. Today, taxpayers earning 50% of the median, or \$29,520, would receive a maximum credit of \$810 or \$1,620 for their childcare costs, far less in current dollars from their predecessors. See I.R.C. § 21(a), (c) (2012) (allowing a credit against \$3,000 for one child or \$6,000 for multiple children, reduced from 35% to a floor of 20% by 1% for each fraction of \$2,000 by which a taxpayer's income exceeds \$15,000). Thus, a taxpayer making \$29,520 would be entitled to a 27% credit, or \$810 for one child and \$1,620 for multiple children.

²³⁰ See I.R.C. § 44A(a), (d) (1982) (maximum phased-down credit was 20% of \$2,400 for one child or \$4,800 for multiple children, which equates to \$480 or \$960 in 1981 dollars). Thus, in today's dollars, the phased-down credits would be \$1,340 and \$2,680. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

²³¹ See *supra* notes 57–59 and accompanying text.

²³² See *supra* notes 48–61 and accompanying text.

By contrast, families earning the median income for all families are entitled to a maximum childcare credit that only allows \$600 and \$1,200 for one child and multiple children, respectively. But for these families, it doesn't make sense to claim the exclusion even if it is available.²³³ But in 1981, however, taxpayers earning the then-median income²³⁴ would have only been at the middle of the phase out range and would have been entitled to a 25% credit²³⁵ worth, in today's dollars, \$1,675 and \$3,350 for one child and multiple children, respectively.²³⁶ Thus median earners in 1981 were entitled to much more than double, and approaching triple, the childcare tax benefits available today.

In 1981, married couples earning the median income for dual earners at the time would find themselves almost at the end of the childcare tax credit's phase out,²³⁷ entitled to a benefit of \$1,407 and \$2,814 for one and multiple children, respectively.²³⁸ Today, married couples earning the median income for dual earners should claim the exclusion if possible, and will benefit up to \$1,400 and \$1,600 for one and multiple children, respectively.²³⁹ They are, therefore, entitled to about the same benefits as their 1981 counterparts if only one child requires care but are entitled to about one-half of the benefits their

²³³ See *supra* notes 55–61 and accompanying text.

²³⁴ The 1981 median income for all families was \$19,074. See *Census Historical Income Tables*, *supra* note 55, tbl.H-12.

²³⁵ See I.R.C. § 44A(a) (1982) (providing that the credit would phase down from 30% to 20% of qualifying expenses by 1% for each fraction of \$2,000 by which a taxpayer's income exceeded \$10,000).

²³⁶ See *id.* § 44A(d) (1982) (setting dollar caps at \$2,400 for one child or \$4,800 for multiple children). A 25% credit of these amounts would be \$600 or \$1,200 in 1981 dollars. In today's dollars, these credits would be worth \$1,675 and \$3,350 for one and multiple children, respectively. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

²³⁷ The 1981 median income for dual earners was about \$26,860. U.S. DEP'T OF COMMERCE, CURRENT POPULATION REPORTS, CONSUMER INCOME P60-137, MONEY INCOME IN THE UNITED STATES: 1981, 2 tbl.A (1983). A taxpayer at this income level would be allowed only a 21% credit, just higher than the minimum. See I.R.C. § 44A(a) (1982) (providing that the credit would phase down from 30% to 20% of qualifying expenses by 1% for each fraction of \$2,000 by which a taxpayer's income exceeded \$10,000).

²³⁸ See I.R.C. § 44A(d) (1982) (setting dollar caps at \$2,400 for one child or \$4,800 for multiple children). A 21% credit of these amounts would be \$504 or \$1,008 in 1981 dollars. In today's dollars, these credits would be worth \$1,407 and \$2,814 for one and multiple children, respectively. See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

²³⁹ See *supra* notes 48–61 and accompanying text.

1981 counterparts could claim when multiple children are involved.

Childcare tax benefits are not and have never been refundable and, therefore, to the extent a family's taxable income or tax liability fails to exceed the available credit or exclusion they will not — and have never been able to — receive these benefits.

A tabular summary of the maximum childcare tax benefits available to parents earning varying levels of income in 1976, 1981 and 2016 follows. Numbers are expressed for one child and multiple children, respectively, and are adjusted to current dollars.²⁴⁰

	1976 ²⁴¹	1981 ²⁴²	2016 ²⁴³
Median Head of Household	\$1,800/ \$3,600	\$1,675/ \$3,350	\$600/\$1,200
Median Married Filing Jointly	\$1,800/ \$3,600	\$1,675/ \$3,350	\$600/\$1,200
Median Married Filing Jointly (dual earner)	\$1,800/ \$3,600	\$1,407/ \$2,814	\$1,400/\$1,600 (exclusion, in 28% marginal bracket)
Top Bracket	\$1,800/ \$3,600	\$1,340/ \$2,680	\$1,980/\$2,180 (exclusion + \$200 credit)
Low Income Brackets - Income to Absorb All Benefits Available	\$1,800/ \$3,600	\$2,010/ \$4,020	\$1,050/\$2,100
Lowest Income Brackets - Income Does Not Exceed Benefits Available	Benefits Not Refundable		

Thus, the (d)evolution of our childcare tax benefits since the mid-eighties has not affected all families the same. In fact, very wealthy taxpayers that only require care for one child actually receive more relief under current childcare tax laws than their counterparts received in 1976 and 1981. All of the other taxpayers represented above receive less childcare tax relief under

²⁴⁰ Adjusted using *CPI Inflation Calculator*, *supra* note 124, as of January of each relevant year.

²⁴¹ See *supra* notes 177–180 and accompanying text.

²⁴² See *supra* notes 229–238 and accompanying text.

²⁴³ See *supra* notes 48–61 and accompanying text.

current laws than their 1976 and 1981 counterparts, but the diminution is not equal across families.

Taxpayers at the top of the phase out range but with sufficient income to claim maximum benefits are today entitled to about 50-60% of the childcare tax relief their counterparts could claim in 1976 and 1981. Earners at the median level lost even more benefits, today receiving well under one-half and close to one-third of the childcare tax benefits similarly situated families in 1981 and 1976 could claim. Couples earning the median income for dual earners have lost some childcare tax benefits when one child requires care but have lost far more — also between one-half to one-third — of those benefits when multiple children need care.

The (d)evolution of our childcare tax laws did not simply escape the attention of our lawmakers. To the contrary, lawmakers have regularly introduced bills to increase childcare tax benefits since 1981.²⁴⁴ In the 114th Congressional session alone — *i.e.* the most recently completed session of Congress running from 2015–2016²⁴⁵ — at least 24 different proposed bills to liberalize the childcare tax laws were introduced to an appropriate Committee.²⁴⁶ During this session lawmakers submitted proposals to

²⁴⁴ A full table of all bills introduced since 1984 is available with Author.

²⁴⁵ *Years of the 1st Through 115th Congresses (1789–2018)*, UNITED STATES SENATE, https://www.senate.gov/reference/Years_to_Congress.htm.

²⁴⁶ See Working Parents Flexibility Act of 2016, H.R. 4699, 114th Cong. (2016); Pathways Out of Poverty Act of 2015, H.R. 2721, 114th Cong. § 1801 (2015); 21st Century Child Care Investment Act, H.R. 5828, 114th Cong. (2016); Right Start Child Care and Education Act of 2015, S. 446, 114th Cong. (2015); Right Start Child Care and Education Act of 2015, H.R. 2703, 114th Cong. (2015); Child Care Access and Refundability Expansion Act, H.R. 1492, 114th Cong. § 2 (2015); Family Care Savings Act, H.R. 750, 114th Cong. (2015); Helping Working Families Afford Child Care Act, S. 661, 114th Cong. (2015); Helping Working Families Afford Child Care Act, H.R. 1780, 114th Cong. (2015); Support Working Parents Act of 2015, H.R. 2184, 114th Cong. (2015); Access to Childcare Expansion Act, S. 3208, 114th Cong. (2016); Promoting Affordable Childcare for Everyone Act, S. 3233, 114th Cong. (2016); Working Families Relief Act, H.R. 4867, 114th Cong. (2016); Working Families Relief Act, S. 2879, 114th Cong. (2016); S. Amend. 633 to S. Con. Res. 11, 114th Cong. (2015); Dependent Care Savings Account Act of 2015, S. 74, 114th Cong. (2015); Child and Dependent Care FSA Enhancement Act, S. 215, 114th Cong. (2015); Child and Dependent Care Tax Credit Enhancement Act of 2015, S. 820, 114th Cong. (2015); Child and Dependent Care FSA Enhancement Act, H.R. 1720, 114th Cong. (2015); H.R. 2891, 114th Cong. (2015); Middle Class Dependent Care Fairness Act of 2016, H.R. 6146, 114th Cong. (2016); H.R. 5971, 114th Cong. (2016); S. 180, 114th Cong. (2015); Working Parent Support Act of 2015, H.R. 964, 114th Cong. (2015).

increase²⁴⁷ and even repeal phase-outs²⁴⁸ (a move which would have put the laws back in line with the generous childcare tax laws enacted in 1976.)²⁴⁹ Others have submitted proposals to make the childcare credit available as an above-the-line deduction (a move which would fully embrace, for the first time, the view that childcare expenses are costs of earning income).²⁵⁰ Another proposal would raise the percentage credit for young children (reflecting that the highest cost of care is for children of pre-school age).²⁵¹ Still other lawmakers have proposed to raise significantly the dollar caps on either or both the childcare tax credit and/or dependent care exclusion.²⁵² Some would build in an inflation adjustment mechanism, so that, like many other tax laws (some to be discussed below), designated dollar caps would automatically ratchet up for inflation each year without the need for additional action²⁵³ (a move that would prevent future childcare tax laws from suffering the same fate as the current childcare tax laws).

Nor is the 114th Congress's activity anomalous. Each Congressional session since 1984 has seen numerous proposals to change the childcare tax laws. Over fifteen proposals were introduced in the 113th Congressional Session to modify the childcare tax laws, almost always to make the childcare tax laws more generous.²⁵⁴ Well over one hundred bills to modify the

²⁴⁷ Child and Dependent Care Tax Credit Enhancement Act of 2015, S. 820, 114th Cong. (2015) (increasing the phase-out amount to \$120,000).

²⁴⁸ See, e.g., Support Working Parents Act of 2015, H.R. 2184, 114th Cong. § 2 (2015); Middle Class Dependent Care Fairness Act of 2016, H.R. 6146, 114th Cong. § 2 (2016).

²⁴⁹ See *supra* section II.B.

²⁵⁰ See, e.g., S. 180, 114th Cong. § 1(b) (2015); Working Parent Support Act of 2015, H.R. 964, 114th Cong. § 2(b) (2015).

²⁵¹ Child and Dependent Care Tax Credit Enhancement Act of 2015, S. 820, 114th Cong. § 2(a)(2)(A) (2015) (raising percentage credit to 50% for children under age five).

²⁵² See, e.g., S. 180, 114th Cong. § 1(a) (2015) (increasing caps to \$7,000 and \$14,000 for one and multiple children, respectively); Working Parent Support Act of 2015, H.R. 964, 114th Cong. § 1(a) (2015) (increasing caps to \$7,000 and \$14,000 for one and multiple children, respectively).

²⁵³ See, e.g., Access to Childcare Expansion Act, S. 3208, 114th Cong. § 3(a) (2016); Promoting Affordable Childcare for Everyone Act, S. 3233, 114th Cong. § 3(a) (2016) (both raising limit on exclusion and adjusting for inflation going forward).

²⁵⁴ See Pathways Out of Poverty Act of 2014, H.R. 5352, 113th Cong. § 1801 (2014) (providing inflation adjustments for the Child Tax Credit); Tax Reform Act of 2014, H.R. 1, 113th Cong. § 1102 (2014) (increasing the child tax credit); S. 1975, 113th Cong. (2014) (allowing above-the-line deductions of \$7,000 and \$14,000 for one and multiple children, respectively); H.R. 5365, 113th Cong. (2014) (allowing above-the-line deductions of \$7,000 and \$14,000 for one and multiple children, respectively); Right Start Child Care and Education Act of 2013, S. 56, 113th Cong. (2013) (increasing the percentage of allowable expenses, income eligibility, and amount creditable); Right Start Child Care and Education

childcare tax laws have been introduced into Committee since 2001,²⁵⁵ the last year in which adjustments were made.

But since 1986, rather than adjust the benefits under the childcare tax laws (even to keep them indexed for inflation), Congress generally opted to create new and expand other existing tax benefits for parents, which did (and do) not depend on whether or to what extent childcare expenses are incurred to work outside the home. The next Part of this Section tracks the evolution of these other parental tax benefits before the TCJA was passed.

B. The Evolution of Our Parental Tax Laws: Making Alphabet Soup

While Congress left the childcare tax benefits to stagnate since the mid-eighties, it created new and expanded existing tax benefits that eligible parents could (and still may) claim regardless of whether they incur childcare costs to work outside the home. This Part tracks the evolution of these parental tax benefits before the TCJA was passed. The next Part tracks the parental tax changes made through the TCJA.

1. The Earned Income Tax Credit (EITC)

As discussed above, Congress made significant changes to the childcare

Act of 2013, H.R. 3101, 113th Cong. (2013) (increasing the percentage of allowable expenses, income eligibility, and amount creditable); Tax Credit for Early Educators Act of 2013, S. 438, 113th Cong. § 4 (2013) (eliminating phase out of dependent care credit); Child Care Access and Refundability Expansion Act, H.R. 3740, 113th Cong. (2013) (making credit refundable and providing for inflation adjustment); Support Working Parents Act of 2013, H.R. 1978, 113th Cong. (2013) (eliminating the phase out of the dependent care credit); Child Care Flex Spending Act of 2013, H.R. 3497, 113th Cong. (2013) (increasing the exclusion amount for employer-provided assistance); Child Care Flex Spending Act of 2013, S. 1713, 113th Cong. (2013) (increasing the exclusion amount for employer-provided assistance); Helping Working Families Afford Child Care Act, S. 2565, 113th Cong. (2013) (increasing dependent care credit, adjusting for inflation, and making credit refundable); Families First Act, H.R. 5258, 113th Cong. (2014) (providing inflation adjustments); Middle Class Dependent Care Fairness Act of 2013, H.R. 2048, 113th Cong. (2013) (eliminating phase out); Dependent Care Savings Account Act of 2014, H.R. 5326, 113th Cong. (2014) (establishing dependent care savings accounts and providing deductions for amounts paid into them); Dependent Care Savings Account Act of 2014, S. 2806, 113th Cong. (2014) (establishing dependent care savings accounts and providing deductions for amounts paid into them); Child and Dependent Care FSA Enhancement Act, S. 2997, 113th Cong. (2014) (increasing the exclusion amount for employer-provided assistance and providing for inflation adjustment).

²⁵⁵ A table of all bills is available with Author.

tax laws in 1976, eliminating income limitations entirely and allowing all parents to credit twenty-percent of their childcare expenses up to historically generous dollar caps.²⁵⁶ But this was not the most important change made to the parental tax laws around that time. In 1975, the first version of the still-existing Earned Income Tax Credit (EITC) was enacted.²⁵⁷ Scholars have devoted substantial time chronicling the history behind the EITC²⁵⁸ and it is unnecessary to replicate that work here. A cursory historical summary suffices.

The EITC was originally envisioned as a modest subsidy to aid working poor families.²⁵⁹ The original version of the EITC was available to working (but not non-working) parents that were in or near poverty. Specifically, parents earning at least \$4,000 but not more than \$8,000 were entitled to a credit,²⁶⁰ which was designed to offset the payroll tax on salary income.²⁶¹ The maximum credit was \$400,²⁶² or about \$1,750 in current dollars.²⁶³ The original EITC pursued humble goals such “prevent[ing] the social security tax from taking away from the poor and low-income earners the money they need for support of their families.”²⁶⁴

²⁵⁶ See *supra* section II.B.

²⁵⁷ Tax Reduction Act of 1975, Pub. L. No. 94-12, 89 Stat. 26 (codified as amended in scattered sections of 26 U.S.C. (2012)).

²⁵⁸ See, e.g., Dennis Ventry, *The Collision of Tax and Welfare Politics: The Political History of the Earned Income Tax Credit, 1969-1999*, 53 NAT'L TAX. J. 983, 996 (2000) (“[M]uch to everyone’s surprise . . . at the end of the 1970s . . . [the EITC] would no longer comprise simply a modest work subsidy . . . [but would instead] represent an anti-poverty device”)

²⁵⁹ See, e.g., Ann Alstott, *The Earned Income Tax Credit and the Limitations on Tax Based Welfare Reform*, 108 HARV. L. REV. 533, 533 (1995) (“The earned income tax credit (EITC), which uses the federal income tax system to provide an earnings subsidy to low-income workers, has enjoyed support across the political spectrum as a ‘pro-work, pro-family’ alternative to traditional welfare programs.”)

²⁶⁰ Tax Reduction Act 1975, Pub. L. No. 94-12 § 204, 89. Stat. 26, 30-32.

²⁶¹ Lawrence Zelenak, *Redesigning the Earned Income Tax Credit as a Family Sized Adjustment to the Minimum Wage*, 57 TAX. L. REV. 301, 304 (2004) (“According to the legislative history, the purposes of the EITC included encouraging employment, reducing welfare rolls, and offsetting the burdens of the payroll tax.”)

²⁶² Tax Reduction Act 1975, Pub. L. No. 94-12 § 204, 89. Stat. 26, 30-32.

²⁶³ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

²⁶⁴ See e.g. 118 CONG. REC. 33010, 33011 (1972) (statement of Sen. Long) (EITC can, among other things, “prevent the social security tax from taking away from the poor and low-income earners the money they need for support of their families”).

But the EITC soon emerged as a full-fledged “anti-poverty device”²⁶⁵ and by 1986 was well on its way towards being a vital tool in America’s kit for actually alleviating poverty. Unlike the childcare tax laws, the EITC amount was adjusted for inflation several times before 1986²⁶⁶ and then, as part of the Tax Reform Act of 1986, was indexed for inflation permanently — *i.e.* the Code was amended to provide that the credit amount would ratchet up each year to reflect inflation without the need for affirmative Congressional action.²⁶⁷

Then came the nineties. President Clinton took office in 1993, vowing to “make work pay.”²⁶⁸ As part of this effort, important changes were made to the EITC, expanding the number of families eligible to claim the EITC and increasing the credit amount substantially.²⁶⁹ These changes tripled the annual cost of the EITC.²⁷⁰

In 2001, Congress made additional changes to the EITC again increasing the number of families eligible to claim the credit by, for instance, lowering the phase-in rate for married couples (to ameliorate the so-called marriage penalty) and excluding certain amounts from the definition of earned income (*i.e.* allowing more taxpayers to qualify because less income “counted” in

²⁶⁵ Ventry, *supra* note 258, at 996.

²⁶⁶ Zelenak, *supra* note 261, at 304.

²⁶⁷ Ventry, *supra* note 258, at (“TRA 86 guaranteed the future integrity of the EITC by indexing it for inflation.”)

²⁶⁸ President William J. Clinton, Statement on Signing the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (August 22, 1996) (available at <http://www.presidency.ucsb.edu/ws/?pid=53219>) (“Combined with the newly increased minimum wage and the Earned Income Tax Credit — which this legislation maintains — H.R. 3734 will make work pay for more Americans.”)

²⁶⁹ Compare Omnibus Budget Reconciliation Act (OBRA) of 1990, Pub. L. No. 101-508 § 11111, 104 Stat. 143 with OBRA of 1993, Pub. L. No. 103-66 § 13131, 107 Stat. 312. See also GENE FALK, CONGRESSIONAL RESEARCH SERVICE, THE EARNED INCOME TAX CREDIT (EITC): AN OVERVIEW 17–18 (2014) (“President Clinton began his term in office in 1993 with a pledge to use the EITC to eliminate poverty for families with a member working full-time at the minimum wage in order to ‘make work pay.’ Fulfillment of his pledge required a proposal to raise the EITC credit rates, especially for families with two or more children. His proposal was enacted as part of OBRA of 1993 with little change by Congress.”)

²⁷⁰ Ventry, *supra* note 258, at 1004–1005 (“(Under the changes produced by the 1990 and 1993 bills, the cost of the EITC almost tripled, jumping from \$7.5 billion in 1990 to \$21.1 billion in 1994 (current dollars) When examined over a longer period, the expansion appeared more dramatic. From 1986 to 1996, EITC expenditures grew by 1,191 percent”).

determining eligibility).²⁷¹ In 2009, Congress increased the credit amount available to families with three or more children.²⁷²

Today, “the [E]arned [I]ncome [T]ax [C]redit (EITC) has grown into [America’s] largest federal anti-poverty program.”²⁷³ The EITC is refundable — *i.e.* if the credit amount to which the taxpayer is entitled exceeds its tax liability, the taxpayer is entitled to a refund of that excess amount.²⁷⁴ In 2016, a single mother with one, two, and three or more children would be entitled to claim some EITC so long as her income did not exceed \$39,296, \$44,648, and \$47,955, respectively.²⁷⁵ A couple that is married filing jointly could claim some EITC for one, two and three or more children so long as income did not exceed \$44,846, \$50,198 and \$53,505, respectively.²⁷⁶ The maximum credit for one, two and three or more children is \$3,373, \$5,572 and \$6,269, respectively.²⁷⁷ These amounts are all substantially larger than the original credit amount available in 1976 when the EITC was enacted — *i.e.* approximately \$1,750 in current dollars, without adjustments for number of children.²⁷⁸

The EITC is expensive. In 2016, it is estimated to cost \$73 billion in foregone revenue and refund payments.²⁷⁹ It is among one of the largest tax expenditures in the Code.²⁸⁰ But the enactment of the EITC was not the only

²⁷¹ The Economic Growth and Tax Relief Reconciliation Act of 2001, Pub. L. No. 107-16, §§ 301–03, 115 Stat. 38, 53–57.

²⁷² The American Recovery and Relief Act of 2009, Pub. L. No. 111-5, § 1002, 123 Stat. 115, 312.). This change was made permanent in 2012. The American Taxpayer Relief Act of 2012, § 103, Pub. L. No. 112-240, 126 Stat. 2313, 2319.

²⁷³ Lawrence Zelenak, *Redesigning the Earned Income Tax Credit as a Family-Size Adjustment to the Minimum Wage*, 57 TAX. L. REV. 301, 301 (2004).

²⁷⁴ I.R.C. § 32 (2012).

²⁷⁵ 2016 EITC Income Limits, Maximum Credit Amounts and Tax Law Updates, INTERNAL REVENUE SERV., <https://www.irs.gov/credits-deductions/individuals/earned-income-tax-credit/eitc-income-limits-maximum-credit-amounts>.

²⁷⁶ *Id.*

²⁷⁷ *Id.* The credit varies by income.

²⁷⁸ The original credit was \$400 in 1976. Tax Reduction Act 1975, Pub. L. No. 94-12 § 204, 89. Stat. 26, 30. For adjustment, see *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year).

²⁷⁹ STAFF OF JOINT COMM. ON TAXATION, 115TH CONG., ESTIMATES OF FEDERAL TAX EXPENDITURES FOR FISCAL YEARS 2016–2020, JCX-3-17, at 39 (2017), available at <https://www.jct.gov/publications.html?func=startdown&id=4971> [hereinafter JCT REPORT] (estimated \$73.4B).

²⁸⁰ See, e.g. Drew DeSilver, *The Biggest U.S. Tax Breaks*, PEW RES. CTR. (Apr. 6, 2016), <http://www.pewresearch.org/fact-tank/2016/04/06/the-biggest-u-s-tax-breaks/> (listing the EITC as the sixth largest tax expenditure).

major change in parental tax laws made during the childcare tax law's (d)evolutionary period.

2. The Child Tax Credit (CTC) and the Additional Child Tax Credit (ACTC)

In the mid-1990s, Congress enacted a modest child (not to be confused with the *childcare*) tax credit (the CTC) that, at the time, benefitted mainly middle and upper-middle class families with children.²⁸¹ Like the EITC, the credit was and continues to be available to eligible families regardless of whether they incur expenses to work outside the home (or indeed whether they incur childcare expenses of any kind at all).

The original 1997 version of the CTC allowed for a credit of \$500 per child and was not refundable — *i.e.* families without sufficient taxable income to absorb the credit could not benefit — unless a family had three or more children.²⁸² The credit amount was lowered to \$400 in 1998.²⁸³ The credit phased out at higher income levels, starting at “\$75,000 for single individuals, \$110,000 for married couples filing jointly, and \$55,000 for married individuals filing separately.”²⁸⁴

In 2001, George W. Bush's Presidency began. During his first term, Congress passed significant tax breaks for families — often referred to colloquially as the “Bush Tax Cuts”²⁸⁵ — through the Economic Growth and Tax Relief Reconciliation Act of 2001 (EGTRRA)²⁸⁶ and the Jobs and Growth Tax Relief Reconciliation Act of 2003 (JGTRRA).²⁸⁷ In addition to

²⁸¹ Taxpayer Relief Act of 1997, Pub. L. No. 105-34, § 101, 111 Stat. 788, 796 (1997) (codified as amended at I.R.C. § 24 (2012)). For more history on the CTC, see Jennifer McGroarty, *Time for the Child Tax Credit to Grow Up: Preserving the Credit's Availability and Enhancing Benefits for Families*, 2 COLUM. J. TAX L. 301 (2011).

²⁸² Taxpayer Relief Act of 1997, Pub. L. No. 105-34, § 101, 111 Stat. 788, 796 (1997) (codified as amended at I.R.C. § 24 (2012)).

²⁸³ McGroarty, *supra* note 281, at 307.

²⁸⁴ *Id.*

²⁸⁵ See, e.g., Scott Greenberg, *Looking Back at the Bush Tax Cuts, Fifteen Years Later*, TAX FOUNDATION (June 7, 2016), <https://taxfoundation.org/looking-back-bush-tax-cuts-fifteen-years-later/> (“[The Economic Growth and Tax Relief Reconciliation Act of 2001] is often referred to as the first of two “Bush tax cuts”).

²⁸⁶ Economic Growth and Tax Relief Reconciliation Act of 2001, Pub. L. No. 107-16, 115 Stat. 38.

²⁸⁷ Jobs and Growth Tax Relief Reconciliation Act of 2003, Pub. L. No. 108-27, 117 Stat. 752.

tax changes — such as lowering the top marginal tax rates and repealing the estate tax temporarily²⁸⁸ — which helped mainly high-income earners, there were several changes that were aimed at the middle class. As part of these latter measures, the child tax credit was expanded and increased. Specifically, EGTRRA scheduled the credit to increase from \$600 to \$1,000 over a period of years.²⁸⁹ But two short years later, JGTRRA accelerated that schedule, setting the credit amount at \$1,000 per child,²⁹⁰ where it remains today.²⁹¹

The 1997 phase-outs remained the same for the two decades preceding the Tax Cuts and Jobs Act (discussed in the next Section).²⁹² Given these higher phase-out levels, the CTC, unlike the EITC, is designed to do far more than provide aid to the working poor, benefitting parents of squarely moderate and somewhat above moderate means. In 2017, families earning between \$100,000 and \$200,000 received almost \$10 billion of the \$55 billion benefits provided through the CTC.²⁹³ Families earning over \$50,000 claimed over \$26 billion of all claimed benefits, slightly more than the CTC and ACTC benefits claimed by families earning below \$50,000 and over five times the total cost of the childcare tax credit and dependency care exclusion.²⁹⁴

In 2001, Congress reformed the CTC so that it could also offer benefits to the working poor. Through EGTRRA, Congress also made the child tax credit partially refundable, providing benefits that supplement the EITC.²⁹⁵ Once taxpayers surpassed an income threshold, below which no refund was available, the refundable portion of the credit increased as income rose until the maximum credit is attained (*e.g.* \$2,000 for two children).²⁹⁶ Thus, like the EITC, the refundable portion of the child tax credit (often referred to as the additional child tax credit, or ACTC) requires a family to work but does not depend on whether childcare costs are incurred to do so.

²⁸⁸ §§ 101, 501, 115 Stat. at 41, 69.

²⁸⁹ § 201, 115 Stat. at 45.

²⁹⁰ §101, 117 Stat. at 753.

²⁹¹ Internal Rev. Serv., Dept. of Treasury, Pub. 972, Child Tax Credit 2 (2016), <https://www.irs.gov/pub/irs-pdf/p972.pdf>.

²⁹² *Id.* at 3 (showing the AGI ceilings as \$75,000 for single individuals, \$110,000 for married couples filing jointly, and \$55,000 for married individuals filing separately).

²⁹³ JCT REPORT, *supra* note 279, at 48 (showing amount received at \$9,696,000,000).

²⁹⁴ JCT REPORT, *supra* note 279, at 48 (totaling \$26.34B).

²⁹⁵ Economic Growth and Tax Relief Reconciliation Act of 2001, Pub. L. No. 107-16, § 201(c), 115 Stat. 38, 46.

²⁹⁶ *Id.*

EGTRRA set the refundability threshold for the ACTC at \$10,000²⁹⁷ but JGTTTRA changed that quickly, reducing the amount to \$3,000,²⁹⁸ where it now remains.²⁹⁹ The threshold amount does not adjust for inflation, which, in this case, is taxpayer friendly.³⁰⁰ Thus, a married couple filing jointly with two children that earned income equal to \$9,000 could currently claim a refund equal to \$900 (fifteen percent of \$6,000). Married couples with two children earning around \$13,300 will be able to receive a full \$2,000 refund and will continue to be able to do so as long as their income is low enough that a full refund is available.

While the CTC and ACTC are not as costly as the EITC, they still bear a large price tag and together constitute one of the more expensive tax expenditure provisions in the Code. In 2016, for instance, the credit was estimated to cost \$55 billion in foregone tax revenue and refunds,³⁰¹ eleven times the estimated cost of the childcare tax laws.³⁰²

3. Other Relevant Changes in Parental Taxation Law Pre-TCJA: The Zero Bracket

In addition to creating an alphabet soup of new tax benefits, Congress has long allowed parents to claim a personal exemption amount to reduce their taxable income for each dependent child in their primary care.³⁰³ Thus, for instance, a couple that is married and filing jointly could traditionally claim four personal exemption amounts while a single parent with two children could claim three. Like the CTC, the personal exemption can be claimed regardless of whether childcare costs are incurred. The personal deduction amount has been consistently adjusted for inflation since the mid-eighties.³⁰⁴

The personal exemption amount has also traditionally phased out, but at very high-income levels. In 2017, couples that are married and file jointly, will begin to phase out their benefits when adjusted gross income exceeds

²⁹⁷ *Id.*

²⁹⁸ Jobs Growth Tax Relief Reconciliation Act of 2003, Pub. L. No. 108-27, § 101, 117 Stat. 753.

²⁹⁹ Protecting Americans from Tax Hikes Act of 2015, Pub. L. No. 114-113, § 101, 129 Stat. 3040, 3044.

³⁰⁰ *Id.*

³⁰¹ JCT REPORT, *supra* note 279, at 37.

³⁰² *Id.*

³⁰³ See I.R.C. § 151(c) (2012); I.R.C. 152(a) (2012).

³⁰⁴ I.R.C. § 63(c)(4) (requiring adjustments for inflation for years after 1988).

\$313,800 and benefits will phase out completely for couples earning more than \$436,300.³⁰⁵ For single filers, the phase out begins once income exceeds \$261,500 and phases out completely at \$384,000.³⁰⁶ In general then, since the mid-eighties, Congress has maintained the personal exemption so that it provides relatively consistent benefits to parents in even the upper income strata regardless of childcare needs. In fact, because the value of the personal exemption increases with the marginal tax bracket of the family claiming it, wealthier parents benefit more than those of lesser means.³⁰⁷

Congress has, since 1971, also allowed taxpayers to claim a standard deduction amount, in lieu of itemizing their deductions. The standard deduction amount is not a parental tax benefit — the same deduction is available for taxpayers that are married and filing jointly, regardless of whether they have dependent children in their care. But it bears mentioning for two reasons. First, the standard deduction is generally discussed along with the personal exemption because together these two benefits define a “zero bracket” amount — *i.e.* an amount of income below which no federal income tax will be levied. Second, as will be seen below, the TCJA conflated the two benefits. In 2016, a married couple filing jointly was entitled to a standard deduction of \$12,600 and a head of household was entitled to \$9,300.³⁰⁸ Like the personal exemption, the standard deduction amount has been consistently adjusted for inflation since the mid-eighties.

This Part concludes by putting this alphabet soup of parental tax benefits together and showing how the (d)evolution of our parental tax laws resulted in an important shift in spending priorities that perpetuated the inequitable taxation of families with different childcare needs, which had been addressed by previous reforms.

4. Shifted Priorities, Perpetuated Inequities

As the previous parts have shown, since the mid-eighties, Congress has

³⁰⁵ Rev. Proc. 2016-55 § 3.24, 2016-45 I.R.B. 707.

³⁰⁶ Rev. Proc. 2016-55 § 3.24, 2016-45 I.R.B. 707.

³⁰⁷ Throughout the devolutionary period, the standard deduction and tax rates also changed significantly. For instance, in 1986, tax rates were slashed for all individual taxpayers. *See* Tax Reform Act of 1986, Pub. L. No. 99-514, § 101, 100 Stat. 2085, 2096 (1986) (amending tax rates). And the standard deduction amount, created in 1971, has increased in value over time, particularly for married taxpayers who can now (but could not always) claim double the deduction available to single filers. Revenue Act of 1971, Pub. L. No. 92-178, §203, 85 Stat. 497, 511 (1971). But these changes apply equally to all taxpayers with the same filing status and thus are not even dependent on whether a taxpayer has children no less whether costs are incurred to care for them.

³⁰⁸ Rev. Proc. 2015-53, 2015-44 I.R.B. 615, § 3.14 (promulgating 2016 standard deductions).

created significant (which is not to say adequate) benefits to working poor families that did not have sufficient income to benefit from the childcare tax laws in the first place, which have never been refundable.

But for working families not in or near poverty, the situation is far different. As the previous discussion has shown, while many working parents lost childcare tax benefits over the past several decades, Congress created new parental tax benefits during that time and expanded others that previously existed. This, of course, mitigated the financial sting for working parents whose childcare tax benefits had devolved. Nevertheless, through these parental tax reforms, Congress significantly altered the way in which parents are taxed not only ossifying the inequities that exist between families with different childcare needs but also acquiescing to their continuous growth.

The CTC and personal exemption provides the same benefits to families of the same size and earning the same income. They are facially neutral. But these laws do not exist in a vacuum. As discussed in Section I.A., unless the Code allows working parents to recover their childcare costs or taxes the imputed income of non-paid arrangements, the tax laws already favor families that do not have to purchase childcare on the external market. Giving all families the same tax benefit does nothing to narrow the magnitude of this inequity.

Moreover, the magnitude of this inequity has grown - and will, without further action, continue to grow - over time. While the benefits available under the childcare tax laws have, due to Congressional neglect, largely remained static in nominal terms, childcare costs have risen to (at least) reflect inflation. Thus, the inequitable taxation of families with different childcare continually worsens over time.

Despite this, the TCJA simply treaded the same well-worn path created by Congress over the prior three decades, doing nothing to address these inequities.

C. The TCJA: More of the Same

The Tax Cuts and Jobs Act — enacted in the twilight of 2017 through a historically rushed process³⁰⁹ — was touted by its proponents as providing

³⁰⁹ See, e.g., Bob Bryan, *Experts are starting to find massive errors in the GOP tax bill after it went through Congress at lightning speed*, BUSINESS INSIDER, Dec. 6, 2017, <http://www.businessinsider.com/trump-gop-tax-reform-bill-mistakes-corporate-amt-2017-12> (noting that the TCJA “moved through both chambers of Congress at legislative light

tax cuts to working families.³¹⁰ The TCJA did expand the relief available to working poor families. While it did not alter the Earned Income Tax Credit³¹¹ – the primary mechanism by which the Code addresses the plight of families that are in or near poverty (discussed in Section III.B.1) – it did expand the benefits available under the refundable portion of the Child Tax Credit, known as the Additional Child Tax Credit (discussed in Section III.B.2). Perhaps most significantly, it raised the maximum per child refund to \$1,400³¹² – up from \$1,000 though not up to the new \$2,000 per child credit available to parents with sufficient income to absorb it³¹³ – and lowered the earned income threshold so that parents can begin to claim refunds once their earned income reaches \$2,500, down from \$3,000.³¹⁴ Thus, as it has historically done, the 115th Congress exhibited a continuing willingness to use the Code to provide aid to the working poor.

But for parents that are not in or near poverty — *i.e.* with sufficient income to receive non-refundable benefits — the TCJA's parental tax reforms strongly resemble Congress' practices since the mid-eighties. In the name of simplification, the TCJA eliminated the personal exemption entirely³¹⁵ (which, as discussed above, depends on the number of dependent children in a parent's care) and doubled the standard deduction³¹⁶ (which does not depend on number of children and only on filing status — *e.g.* married and filing jointly or head of household). The TCJA then doubled the child tax credit from \$1,000 to \$2,000 for each dependent child, added an additional credit for non-child dependents such as elderly relatives, and dramatically raised the phase out levels to \$400,000 for taxpayers that are married filing jointly and \$200,000 for all other filers.³¹⁷ But as mentioned throughout this Article, it left the childcare tax laws entirely untouched so that none of the expanded parental relief depends on whether childcare costs are actually incurred.

The extent to which a particular family's tax bill will be lowered

speed" and "experts are starting to find a slew of errors they say are most likely the result of a rushed process."); Thomas Kaplan & Alan Rappeport, *Senate Overcomes Hiccups to Advance Tax Overhaul in 51-48 Vote*, N.Y. TIMES, Dec. 19, 2017, at A15 (noting that Democratic Senator Charles Schumer "warned that Republicans would come to regret rushing the tax bill through Congress. . .").

³¹⁰ See *supra* note 6.

³¹¹ See generally, Tax Cuts and Jobs Act, H.R. 1, 115th Cong. (2017).

³¹² *Id.* § 11022(a)

³¹³ *Id.*

³¹⁴ *Id.*

³¹⁵ *Id.* § 11041.

³¹⁶ *Id.* § 11021.

³¹⁷ *Id.* § 11022.

obviously depends on its particular situation. But one thing is quite clear: The TCJA did nothing to address the inequitable taxation of families with different childcare needs. Instead, like it has done for the past three decades, it expanded benefits to all families while leaving childcare tax benefits to devolve further in value.

The final Section of this Article takes the history and insights developed in these previous three Sections to consider the future of America's childcare tax laws and other reforms that might actually address the inequities discussed throughout this Article.

IV. USING THE PAST TO INFORM THE FUTURE OF AMERICA'S CHILDCARE TAX LAWS

The previous three Sections have provided a holistic look at the (d)evolution of our childcare and parental tax laws. In order to use this history to inform future debates, the first part of this Section turns to a still unanswered question: Why was this (d)evolution politically feasible? Why aren't working parents demanding reform of the childcare tax laws to mitigate the inequitable taxation of their income? Why doesn't anyone seem to be asking whether children are more important than martinis, organizing Baby Carriage Brigades, or dressing children as oil wells?

Coupling these political insights with the history developed throughout this Article, this Section then discusses possible reforms to our childcare tax laws that might enact historically significant reform that addresses the long-ignored taxation inequities discussed in this Article.

A. Public Sentiment: Where There Was Outrage, Apathy

As discussed in Section II.B., Congress liberalized the childcare tax laws in the 1970s and 1980s,³¹⁸ more equitably taxing families with different childcare needs. But in the ensuing decades these laws have devolved, once again taxing family models inequitably. Demographics suggest that an increasing number of families are adversely affected by these inequities.

To start, the number of American families that consist of two earners seems to be consistently rising. In 1970 (around the time that Congress started to significantly liberalize the childcare tax laws), only half of two-parent families consisted of one earner (who was almost always the father).³¹⁹

³¹⁸ See *supra* section II.B.

³¹⁹ Kim Parker & Gretchen Livingston, 6 *Facts About American Fathers*, PEW RES. CTR.

Today, that percentage has dropped to 33%, and a full two-thirds of two-parent families are dual earners³²⁰ — i.e. both parents work outside of the home and earn income.³²¹ And there is reason to believe that the one-earner, two-parent model will continue its decline. Millennials — defined roughly as those born between 1980 and the mid-1990's³²² so that they are “ages 18–34

(June 16, 2016), <http://www.pewresearch.org/fact-tank/2016/06/16/fathers-day-facts/> (“About a quarter of couples (27%) who live with children younger than 18 are in families where only the father works. This marks a dramatic change from 1970, when almost half of these couples (47%) were in families where only the dad worked.”); see D’Vera Cohn ET AL., *After Decades of Decline, A Rise in Stay-at-Home Mothers*, PEW RES. CTR. (Apr. 8, 2014), <http://www.pewsocialtrends.org/2014/04/08/after-decades-of-decline-a-rise-in-stay-at-home-mothers/> (“The share of mothers who do not work outside the home rose to 29% in 2012, up from a modern-era low of 23% in 1999, according to a new Pew Research Center analysis of government data.”); see also Sarah Jane Glynn, *The New Breadwinners: 2010 Update*, CTR. CT. FOR AM. PROGRESS (Apr. 16, 2012), <https://www.americanprogress.org/issues/economy/reports/2012/04/16/11377/the-new-breadwinners-2010-update/> (“[M]ost children today are growing up in families without a full-time, stay-at-home caregiver. In 2010, among families with children, nearly half (44.8 percent) were headed by two working parents and another one in four (26.1 percent) were headed by a single parent. As a result, fewer than one in three (28.7 percent) children now have a stay-at-home parent, compared to more than half (52.6 percent) in 1975, only a generation ago.”).

³²⁰ Scott A. Hodge & Andrew Lundeen, *America Has Become a Nation of Dual-Income Working Couples*, TAX FOUND. (Nov. 21, 2013), <http://taxfoundation.org/blog/america-has-become-nation-dual-income-working-couples/> (“Mothers worked during the 1960s but fewer than half of all married couples during that era were dual-earners. Today, that number has risen to 66 percent, more than twice the number of sole-earner married couples. This means that a large share of married couple tax returns have two incomes and thus are now clustered in the upper income groups facing the highest marginal tax rates.”).

³²¹ See *Raising Kids and Running a Household: How Working Parents Share the Load*, PEW RESEARCH CTR. (Nov. 4, 2015), <http://www.pewsocialtrends.org/2015/11/04/raising-kids-and-running-a-household-how-working-parents-share-the-load/>. Of course, there are many ways that families can share the burdens of income production and work inside the home. The Pew Research Center reports that “the share of two-parent households in which both parents work full time now stands at 46%, up from 31% in 1970. At the same time, the share with a father who works full time and a mother who doesn’t work outside the home has declined considerably; 26% of two-parent households today fit this description, compared with 46% in 1970. . . .”

³²² There is not yet any well-established, precise definition of Millennial. See Richard Fry, *Millennials Overtake Baby Boomers as America’s Largest Generation*, PEW RESEARCH (Apr. 25, 2016), <http://www.pewresearch.org/fact-tank/2016/04/25/millennials-overtake-baby-boomers/> (“Generations are analytical constructs, and developing a popular and expert consensus on what marks the boundaries between one generation and the next takes time. Pew Research Center has established that the oldest “Millennial” was born in 1981. The Center continues to assess demographic, attitudinal and other evidence on habits and culture that will help to establish when the youngest Millennial was born or even when a new generation begins. To distill the implications of the census numbers for generational heft, this analysis assumes that the youngest Millennial was born in 1997.”); see also Samantha

in 2015”³²³ — are positioned to be “the first generation in history in which dual-earner households are the norm.”³²⁴ Stunningly, 78% of these “Gen Y” couples consist of two earners, compared to 47% of couples in the so-called boomer generation³²⁵ — *i.e.* individuals who were born between 1946 and 1964.³²⁶

The number of families that consist of single mothers has risen dramatically over the past several decades, too.³²⁷ The Center of Disease Control and Prevention found that in 2014, births of unmarried women constituted 40% of all births.³²⁸ In 1980, births of unmarried women

Raphelson, *Amid the Stereotypes, Some Facts About Millennials*, NPR (Nov. 18, 2014), <http://www.npr.org/2014/11/18/354196302/amid-the-stereotypes-some-facts-about-millennials> (“There is no consensus on the exact years that generations begin and end. For this post, we’ve defined millennials as those born between 1980 and 2000; Generation X, between 1965 and 1979; and baby boomers, between 1946 and 1964. Also, these charts represent averages—there will always be exceptions to these trends.”).

³²³ Richard Fry, *Millennials Overtake Baby Boomers as American’s Largest Generation*, PEW RES. CTR. (Apr. 25, 2016), <http://www.pewresearch.org/fact-tank/2016/04/25/millennials-overtake-baby-boomers/>; see Philip Bump, *Here Is When Each Generation Begins and Ends, According to Facts*, ATLANTIC (Mar. 25, 2014), <http://www.theatlantic.com/national/archive/2014/03/here-is-when-each-generation-begins-and-ends-according-to-facts/359589/> (for an amusing debate on exactly how to characterize one’s generation).

³²⁴ Dan Schawbel, *The Expanding Roles of Millennials in the Workplace*, FORBES (Dec. 13, 2011), <http://www.forbes.com/sites/danschawbel/2011/12/13/the-expanding-roles-of-millennials-in-the-workplace/#533420f11d6c>.

³²⁵ *Millennials: “Generation Go”*, ERSNT & YOUNG, <http://www.ey.com/US/en/About-us/Our-people-and-culture/EY-infographic-millennials-generation-go>.

³²⁶ The definition of Baby Boomers, or Boomers, is relatively fixed (as opposed to the definition of Millennials). See, e.g. Bump, *supra* note 323 (“I started by calling the Census Bureau. A representative called me back, without much information. ‘We do not define the different generations,’ she told me. ‘The only generation we do define is Baby Boomers and that year bracket is from 1946 to 1964.’”); *Baby Boomers*, HISTORY <http://www.history.com/topics/baby-boomers> (for an interesting history of the term.).

³²⁷ Emily Badger, *The Unbelievable Rise of Single Motherhood in America Over the Last 50 Years*, WASH. POST: WONKBLOG (Dec. 18, 2014), <https://www.washingtonpost.com/news/wonk/wp/2014/12/18/the-unbelievable-rise-of-single-motherhood-in-america-over-the-last-50-years/>.

³²⁸ Brady E. Hamilton et al., *Births: Final Data for 2014*, 64 NAT’L VITAL STAT. REP. 1, 7 (2015), http://www.cdc.gov/nchs/data/nvsr/nvsr64/nvsr64_12.pdf. Interestingly, this does represent a steady decline from 2007, when the single motherhood rate peaked at over 50%. *Id.* For purposes of this Article, however, the important observation is that single motherhood is becoming a common family composition, which, unlike single earning two parent families, very often require outside childcare.

constituted less than 20% of all births.³²⁹ And these numbers can only be expected to rise — approximately 57% of Millennials aged 26 to 31 have birthed children out of marriage.³³⁰ “Single motherhood,” it is reported, “has grown so common in America that demographers now believe half of all children will live with a single mom at some point before the age of 18.”³³¹

As the number of dual earner and single parents rise, more American parents find themselves struggling with the high costs of private childcare. And childcare costs have risen since the 1970s and 1980s, often now representing one of the highest costs in many American families’ budgets, sometimes exceeding rent and in-state college tuition.³³² One would, therefore, expect a growing number of working parents to pressure elected Congresspersons to at least adjust the childcare tax laws for inflation and to object to the inequities perpetuated by the Code. But compared to the public outcry of the seventies and eighties, even working parents — the constituency most affected by our severe childcare tax laws — seem relatively apathetic.

There are obviously many ways in which the seventies and eighties differ from today, which can help explain why even working parents seem unfazed by the devolution of our childcare tax laws. To start, today’s parental tax laws are more complex than they were in the sixties and seventies, consisting of an alphabet soup of benefits, whose different purposes may not be readily discernible to the untrained eye. Further, as discussed above, the devolution of our childcare tax benefits occurred slowly through decades of inaction. And because Congress created new and expanded existing parental benefits, the actual financial impact to any particular family was not felt as acutely as it otherwise would have been.

Moreover, the rhetoric employed to defend current parental tax laws can sound persuasive to the untrained ear. Whereas their predecessors were bald in their assertions about gender roles, today’s lawmakers utilize arguments

³²⁹ *Id.*

³³⁰ Alexia Fernandez Campbell, *Why Are So Many Millennials Having Children Out of Wedlock?*, ATLANTIC (July 18, 2016), <http://www.theatlantic.com/business/archive/2016/07/why-are-so-many-millennials-having-children-out-of-wedlock/491753/>. See also *Gallup Analysis: Millennials, Marriage and Family*, GALLUP NEWS (May 19, 2016), <http://www.gallup.com/poll/191462/gallup-analysis-millennials-marriage-family.aspx> (“Most millennials have not yet married, and they are waiting longer to marry. For 34-year-olds, just over half (56%) are married, and of these, 83% have children. But a substantial number (46%) of those who have never been married and are well into their 30s have children. This may represent a seismic shift in the connection between marriage and child rearing because as recently as 2000, the comparable percentage of single/never married 30- to 34-year-olds with children was just 30%.”).

³³¹ Badger, *supra* note 327.

³³² CHILD CARE AWARE OF AM., *supra* note 8, at 20.

that can pass as normatively sterile. Extending benefits to all parents, lawmakers often claim, rather than just helping working parents with childcare costs, allows each family to choose the earning arrangement that is best for them.

For instance, a vociferous proponent of expanding the CTC, Republican Senator Marco Rubio wrote:

“Enhancing the Child Tax Credit . . . would . . . promote family flexibility. Families can claim the credit regardless of parenting or work arrangements, empowering working and stay-at-home parents equally and increasing their ability to choose the best parenting arrangement for their situation.”³³³

These appeals to neutrality are specious. As discussed in Section I.A., the Code already favors families that do not have to incur childcare costs to work. Its failure to tax the imputed income from non-paid care arrangements coupled with our restrictive childcare tax laws result in the inequitable taxation of parents with different childcare needs. And as discussed in Section III.C, expanding benefits under provisions like the CTC which do not depend on actual childcare expenses, does not correct for this discrepancy but instead allows it to grow. Nevertheless, these argumentative flaws can be easily (and understandably) lost on non-tax experts, which may help explain why today’s parents seem relatively indifferent to our parental tax laws.

Another reason for this apathy likely has to do with how expectations about the role the American government should play in the lives of parents have changed. In 1971, The Comprehensive Child Development Act (CCDA) was passed by both houses of Congress and would have, in the words of one expert, “brought to fruition the feminist vision for universal childcare.”³³⁴ The CCDA allocated \$2.1 billion (nearly \$13 billion in today’s dollars)³³⁵ for a national childcare program that would have provided free care for families of lower-middle class backgrounds and

³³³ Sen. Marco Rubio, *We Need Real Tax Reform That Empowers Families*, BREITBART (Aug. 3, 2017) <http://www.breitbart.com/big-government/2017/08/03/marco-rubio-we-need-real-tax-reform-that-empowers-families/>.

³³⁴ Deborah Dinner, *The Costs of Reproduction: History and the Legal Construction of Sex Equity*, 46 HARV. C.R.-C.L. L. REV. 415, 461 (2011).

³³⁵ See *CPI Inflation Calculator*, *supra* note 124 (calculated as of January of each relevant year). The maximum value that the *CPI Inflation Calculator* can adjust is \$10 million. Thus, this figure was calculated based on the January 2017 value of \$10 million in January 1971 dollars, which is \$61,014,824.

provided care on a sliding-fee scale based on income exceeding a designated threshold.³³⁶ Thus, the CCDA “came close to recognizing childcare as a universal right, rather than a means-based entitlement,”³³⁷ which some feminist groups believed indispensable if women were to attain full “social citizenship.”³³⁸ It is reported that some feminist advocates wept in Congress when it was passed.³³⁹

The victory, however, ultimately eluded them. President Nixon unexpectedly vetoed the legislation,³⁴⁰ delivering a scathing message to Congress.³⁴¹ The CCDA, Nixon chided, ran the risk of “altering the family relationship” and “diminish[ing] both parental authority and parental involvement with children — particularly in th[e] decisive early years.”³⁴² And the CCDA, he continued, would commit the “vast moral authority of the National Government to the side of communal approaches to child rearing over [and] against the family-centered approach,”³⁴³ a message that was apparently a toned-down version of the one Senior Advisor Pat Buchanan wanted Nixon to deliver, which would have accused proponents of “Sovietizing” childcare.³⁴⁴

Nevertheless, the intent behind Nixon’s message was concordant with Buchanan’s hopes to not just veto the bill but to “kill” the idea of universal childcare completely.³⁴⁵ That goal has been largely achieved. “Nixon’s veto

³³⁶ Comprehensive Child Development Act, S. 1512, 92d Cong. (1971). *See also* Dinner, *supra* note 334, at 461.

³³⁷ Dinner, *supra* note 334, at 461.

³³⁸ SONYA MICHEL, CHILDREN’S INTERESTS/MOTHERS’ RIGHTS: THE SHAPING OF AMERICA’S CHILD CARE POLICY 2 (1999) (“[C]hild care might be said to constitute part of what political theorist T. H. Marshall called ‘social citizenship.’”).

³³⁹ ROSEN, WORLD SPLIT OPEN, *supra* note 1 at 90

³⁴⁰ MICHEL, *supra* note 338, at 248 (“[P]roponents of comprehensive federal policies toward children expected Nixon to sign the bill. Thus his eventual veto — expressed in rather harsh terms — came as something of a surprise.”).

³⁴¹ Emily Badger, *That One Time America Almost Got Universal Childcare*, WASH. POST: WONKBLOG (June 23, 2014), https://www.washingtonpost.com/news/wonk/wp/2014/06/23/that-one-time-america-almost-got-universal-child-care/?utm_term=.19287240d790 (“Then Nixon (with the urging of Pat Buchanan, then working in the White House) vetoed it with scathing language denouncing the “radical” idea that government should help rear children in the place of their parents.”).

³⁴² 117 CONG. REC. 46,057–59 (1971).

³⁴³ *Id.*

³⁴⁴ COLLINS, *supra* note 36, at 288.

³⁴⁵ *Id.* (“The goal was not just to kill the bill but also to bury the idea of a national child-care entitlement forever. ‘I insisted we not just say we can’t afford it right now, in which case you get pilot programs or whatever,’ Buchanan said. The veto message was actually a

message,” one expert explains “was carefully crafted to cosset rightwing, anti-Communist, anti-feminist sentiment . . . and taint[ed] the concept of universal child care to such an extent that for years to come, few Republicans dared to support it.”³⁴⁶ Today, the fact that the CCDA garnered bipartisan support is difficult to comprehend.

But Nixon’s veto did more than chill the support of politically conservative lawmakers. With the demise of the CCDA, normative expectations about what role the American government can be expected to play in caring for children have changed. Many of today’s working parents (particularly those with young children) were not born when the CCDA was passed and vetoed or far too young to remember it. Today, Professor Gail Collins writes, “most Americans take it as a given that they are on their own,” and find it difficult to believe “that the government has seriously considered offering anything more than a patchwork system to help the very poor.”³⁴⁷ Lacking historical perspective, American parents assume that “we should be self-sufficient in providing [child] care, without any need for government support.”³⁴⁸ The shift towards and acceptance of what Professor Robert Drago and others have termed the “norm of individualism”³⁴⁹ likely plays a critical role in explaining the public’s relative apathy towards our devolved childcare tax laws.

The veto of the CCDA also seemed to alter the feminist agenda, changing the reforms that were deemed feasible and advocated for in the public view. Professor Deborah Dinner, for instance, writes that Nixon’s veto of the CCDA “contributed to a decline in rights-based childcare activism.”³⁵⁰ She references historian Sonya Michel’s work, explaining that “the defeat of the CCDA marked a deepening bifurcation of child-care policy along class lines . . . toward public childcare for the poor and private, market-based childcare for the working and middle classes.”³⁵¹ This shift, Dinner continues, has

toned-down version of what Buchanan had suggested—he wanted to accuse the bill’s drafters of ‘the Sovietization of American children.’ But it did the job Buchanan . . . had hoped it would do. It delivered the message that it was much more politically dangerous to work in favor of expanded child care than to oppose it.”)

³⁴⁶ MICHEL, *supra* note 338, at 251.

³⁴⁷ COLLINS, *supra* note 36, at 285.

³⁴⁸ Golden, *supra* note 38, at 623.

³⁴⁹ DRAGO, *supra* note 38, at 10.

³⁵⁰ Deborah Dinner, *Universal Childcare Debate: Rights Mobilization, Social Policy, and the Dynamics of Feminist Activism, 1966-1974*, 28 L. & HIST. REV. 577, 584 (2010).

³⁵¹ *Id.* (citing MICHEL, *supra* note 338, at 236–38).

“made it considerably more difficult for women of different class backgrounds to envision a political world in which they h[o]ld shared interests in childcare policy. In this constrained political context, feminists no longer claim[] the right to universal childcare.”³⁵²

This change in emphasis is reflected in past and present feminist agenda. High-profile, hegemonic Second Wave feminist groups often demanded that the government play a central role in providing accessible and affordable childcare to all working women, regardless of means. The NOW Bill of Rights, for instance, demanded the following:

[t]hat child-care facilities be established by law on the same basis as parks, libraries, and public schools, adequate to the needs of children, from pre-school years through adolescence, as a community resource to be used by all citizens from all income levels.³⁵³

Similarly, the National Plan of Action, adopted at the National Women's Conference in Houston in 1977 demanded that “[t]he Federal Government . . . assume a major role in directing and providing comprehensive . . . child care.”³⁵⁴ The Strike for Women's Equality, held in 1970 “made three central demands: universal childcare, equal employment opportunity, and free abortion on demand.”³⁵⁵ These feminist groups viewed “universal childcare as a prerequisite for equal citizenship.”³⁵⁶

By contrast, some Third Wave (*i.e.* Post-Second Wave) feminist agendas fail to even mention the issue of childcare.³⁵⁷ Other modern feminist agendas, such as the agenda drafted to support the 2017 Women's March in Washington D.C., mention the need for affordable childcare but do not identify it as a central priority, and do not specify how issues should be addressed, or by whom.³⁵⁸

³⁵² *Id.*

³⁵³ NOW National Organization for Women, *Bill of Rights, for Women in 1968*, originally issued at NOW convention 1968, *reprinted in* THE SIXTIES IN AMERICA: PRIMARY SOURCES 87, (Tom Pendergrast & Sara Pendergrast eds., 2004), *available at* <http://www.encyclopediajudaica.com/pdf/samples/sp692484.pdf>.

³⁵⁴ NAT'L WOMEN'S CONF., NATIONAL PLAN OF ACTION (1977) (“The Federal Government should assume a major role in directing and providing comprehensive . . . child care . . .”).

³⁵⁵ Dinner, *supra* note 334, at 459.

³⁵⁶ *Id.*

³⁵⁷ ROSEN, WORLD SPLIT OPEN, *supra* note 11 at 359 (“One issue . . . that did not appear on the Third Wave feminist agenda was child care.”).

³⁵⁸ *Unity Principles*, WOMEN'S MARCH ON WASHINGTON 2017, <https://www.womensmarch.com/principles/> (“All women should be paid equitably, with

While a full description of post-Second Wave feminist is far outside the scope of this Article, it is important to mention that the modern feminist agenda may also focus less on childcare because of an increased commitment to diversity, inclusion and intersectionalism. Hegemonic Second Wave feminist groups, such as NOW, have been roundly criticized for their lack of inclusivity.³⁵⁹ These groups tended to focus on a particular set of issues (*e.g.* the ability to pursue a “career” if one chose) felt mainly by upper-class white women and often ignored the distinct and varied issues faced by women of different socio-economic, racial and other backgrounds.³⁶⁰ Women in lower income classes (statistically more often women of color), for instance, generally did not have a choice of whether to work and did not view their work as a “career” path towards self-fulfillment but as a method of survival.³⁶¹ Hegemonic Second Wave feminists, therefore, had the relatively narrow task of devising an agenda that addressed the issues faced by the subset of women on which they focused. Women need affordable childcare, they easily understood, if they were to have meaningful choices to pursue careers, and the government, they believed, should help in that pursuit.

However, more inclusive, modern feminist movements sometimes press towards a more “non-essential” view of womanhood — *i.e.* reject the idea perpetuated by non-intersectional feminists that there is one unifying, singular circumstance that defines women³⁶² — and towards an intersectional feminism — *i.e.* one that recognizes the distinct issues and circumstances women of varying backgrounds confront.³⁶³ An intersectional feminist agenda, therefore, must encompass far more diverse issues and some modern feminist agenda at least attempt to do so. The agenda for the 2017 Women’s March, for instance, while by no means a perfect model for inclusivity or

access to affordable childcare, sick days, healthcare, paid family leave, and healthy work environments.”).

³⁵⁹ Much has been written to this effect. *See, e.g.*, BELL HOOKS, *FEMINIST THEORY FROM MARGIN TO CENTER* 1 (1984) (“Feminism in the United States has never emerged from the women who are most victimized by sexist oppression.” Indeed, the book “heralded as having paved the way for contemporary feminist movement . . . was written as if these women did not exist.”)

³⁶⁰ *Id.*

³⁶¹ *See* HOOKS, *supra* note 359, at 95–105.

³⁶² *See generally* Angela Harris, *Race and Essentialism in Feminist Legal Theory*, 42 STAN. L. REV. 581 (1990)).

³⁶³ *See generally* Kimberle Crenshaw, *Mapping the Margins: Intersectionality, Identity Politics, and Violence Against Women of Color*, 43 STAN. L. REV. 1241 (1991).

intersectionalism, still identified issues in criminal justice reform, racial profiling and racism, LGBTQ rights, and voting rights, along with women's economic empowerment in the workplace.³⁶⁴

Thus, while legal complexity, specious neutrality rhetoric and norm entrenchment likely play a role in defining the modern feminist agenda and explaining the relative de-emphasis on affordable and widely available childcare, so too does a desire to focus on a more diverse set of issues, many of which did not find a place on the agenda of high-profile Second Wave feminist groups like NOW. This is not a critique. The task modern, intersectional feminists face when defining an agenda is necessarily more messy and difficult than those of their more singularly focused, hegemonic predecessors. These groups may well determine that their finite energies are better spent on issues even more critical than childcare reform. Nevertheless, to the extent that the demands of activist organizations help educate the public and define their expectations, today's working parents probably hear less about universal childcare reform from modern feminist groups than those parents raising children during feminism's so-called Second Wave.

Taking this political context alongside the historical context developed throughout this Article, this Section concludes by asking: Where might we go from here?

B. Childcare Tax Law Reform: Incremental, Monumental Change

With the passage of the TCJA, political conservatives enacted a tepid version of parental tax reform that fails to directly address the problem of rising childcare costs faced by some, but not other, families. Numerous proposals have been suggested to truly address the care crisis faced by working families. During their recent Presidential runs, for instance, politically liberal candidates such as Hillary Rodham Clinton, Bernie Sanders, and Jill Stein proposed both tax and non-tax reforms that would help parents access quality and affordable childcare. Each of these proposals advocate for some sort of universal childcare program.

For instance, Democratic Presidential Nominee Rodham Clinton called for the establishment of universal pre-school for all children under four years old so that every child would be entitled to the same "strong start."³⁶⁵ Rodham Clinton also proposed a Respect and Increased Salaries for Early Childhood

³⁶⁴ See *supra* note 358.

³⁶⁵ *Early Childhood Education*, *supra* note 3. This was, however, not the most ambitious proposal offered, as Jill Stein called for free childcare for all parents. *Jill Stein 2016 Platform: Our Power to the People Plan*, JILL 2016, <https://www.jill2016.com/platform>.

Educators (RAISE) initiative³⁶⁶ aimed at increasing salaries for childcare workers. RAISE aspired to pay childcare workers a fair wage for their labor to, in turn, increase the availability of quality childcare options for parents, which are sorely lacking in the U.S.³⁶⁷

During his Presidential run, sometimes Independent, sometimes Democratic Senator Bernie Sanders vowed to “provide all children . . . ages [six] weeks to kindergarten, with access to a full-time, high-quality, developmentally-appropriate, early care and education program.”³⁶⁸ And Green Party Presidential Candidate Jill Stein called for free childcare programs for all children.³⁶⁹ Nor are universal childcare programs just the fodder for Presidential hopefuls. In September 2017, Democratic Senator Patty Murray and Representative Robert C. Scott introduced the Child Care for Working Families Act,³⁷⁰ which builds off of Rodham Clinton’s proposal and aspires to “address the current early learning and care crisis by ensuring that no family under 150% of state median income pays more than seven percent of their income on child care.”³⁷¹

These ambitious plans reimagine the programs contemplated by the vetoed Comprehensive Child Development Act (discussed above).³⁷² As one commentator noted, if such plans were enacted “the federal government would finally step in and take the kind of action that Nixon rejected in the 1970s.”³⁷³ They currently seem far from reach.

But the history explored in this Article shows that even modest

³⁶⁶ *Id.*

³⁶⁷ *Id.* See also Jonathan Cohn, *The Hell of American Day Care*, NEW REPUBLIC (Apr. 14, 2013), <https://newrepublic.com/article/112892/hell-american-day-care> (discussing the quality issues commonly found in U.S. child care facilities).

³⁶⁸ *Bernie Sanders on Education*, FEELTHEBERN.ORG, <http://feelthebern.org/bernie-sanders-on-education/> (citing Foundations for Success Act of 2011, S. 294, 112th Cong. § 3)

³⁶⁹ *Jill Stein 2016 Platform*, *supra* note 365 .

³⁷⁰ Child Care for Working Families Act, S. 1806, 115th Cong. (2017).

³⁷¹ Press Release, Senator Patty Murray and Representative Robert Scott, Child Care for Working Families Act (Sept. 13, 2017), available at https://www.help.senate.gov/imo/media/doc/Child%20Care%20for%20Working%20Families%20Act_9.13_final.pdf.

³⁷² CAP, for instance, estimated the benefit of making pre-school available to all 3- and 4-year-old children at \$10,000 per family. *Id.*

³⁷³ Jonathan Cohn, *Clinton’s Child Care Plan Could Get Very Expensive and Be Totally Worth It*, HUFFINGTON POST: POLITICS (May 18, 2016) (referring to President Nixon’s veto of the Comprehensive Child Development Act in 1971).

adjustments to the childcare tax laws, while incapable of enacting systemic changes on their own, might nevertheless enact historically significant reform that at least addresses the tax inequities discussed throughout this Article. Rather than devise my own specific proposal, which I have done extensively elsewhere,³⁷⁴ I'd like to conclude by discussing some of the proposals submitted in recent Congressional sessions that would liberalize the childcare tax laws. As discussed in Section III.A., in the 114th Congressional session alone — *i.e.* the most recently completed session of Congress running from 2015–2016³⁷⁵ — at least 24 different proposed bills to modify the childcare tax laws were introduced to Committee, where they have generally perished.³⁷⁶

For instance, in the 114th Congressional Session, lawmakers submitted proposals to increase³⁷⁷ the childcare tax credit's income phase-downs.³⁷⁸ To cite two examples, the Helping Working Families Afford Child Care Act³⁷⁹ (referred to the House Committee on Ways and Means) and the Child and Dependent Care Tax Credit Enhancement Act of 2015³⁸⁰ (referred to the Committee on Finance) would have increased the phase-down amount from its current \$15,000 level to \$110,000 and \$120,000, respectively.³⁸¹ These amounts represent about 180% the median income for all families in 2016 and about 115% of the median income for dual earners.³⁸² Without debating the ideal design of the phase-down, recall from Section III.A. that due to decades of neglect, the current childcare tax credit phase down is steep and phases down to its lowest level well before a family earns the median income for all (and thus also dual) earners. But these families are not yet in a high enough marginal tax bracket to make the exclusion worth their while. Increasing the phase-down levels of the childcare tax credit could mitigate

³⁷⁴ See, *e.g.*, Shannon Weeks McCormack, *Postpartum Taxation and the Squeezed Out Mom*, 105 GEO. L. J. 1323 (2017); Shannon Weeks McCormack, *Overtaxing the Working Family: Uncle Sam and the Childcare Squeeze*, 114 MICH. L. REV. 559 (2016).

³⁷⁵ *Years of the 1st Through 115th Congresses*, *supra* note 245.

³⁷⁶ See *supra* note 246.

³⁷⁷ Child and Dependent Care Tax Credit Enhancement Act of 2015, S. 820, 114th Cong. (phase-out amount increased to \$120,000).

³⁷⁸ See, *e.g.*, Support Working Parents Act of 2015, H.R. 2184, 114th Cong. (eliminating the phase-out entirely); Middle Class Dependent Care Fairness Act of 2016, H.R. 6146, 114th Cong. (repealing phase-out of credit).

³⁷⁹ S. 661, 114th Cong. (2015).

³⁸⁰ S. 820.

³⁸¹ S. 661 at § 2; S. 820 at § 2.

³⁸² See *Census Historical Income Tables*, *supra* note 55, tbl.H-12, (2016 median income for all households was \$59,039; median income for dual earner households was \$94,679).

this affect, which was not intended in the childcare tax law's past design.

In the 114th Session, other proposals aimed to raise significantly the dollar caps on either or both the childcare tax credit and/or dependent care exclusion.³⁸³ For instance, both the Family Care Savings Act and Working Families Relief Act would have doubled the maximum exclusion and adjust that amount automatically for inflation going forward.³⁸⁴ Both the Helping Working Families Afford Child Care and Child Care Access and Refundability Expansion (CARE) Acts would raise the limits on the childcare tax credit to \$8,000 and \$16,000, close to triple what they are today³⁸⁵ and far closer to the dollar limits available in the seventies and eighties (in inflation adjusted dollars). The Child and Dependent Care Tax Credit Enhancement Act of 2015 (discussed above) would have raised the maximum percentage credit from 35% to 50% when care involves young children, reflecting the fact that cost of care is typically highest when childcare are in their pre-school years.³⁸⁶

As its name implies, the CARE Act would also have made childcare tax benefits refundable, which they have never been. Lawmakers have long argued for this. In fact, in a 1976 hearing before the Senate Committee on Finance, which considered the merits of the childcare tax credit, Senator Edward Kennedy found the bill "seriously deficient" in its failure to make benefits refundable. He lamented: "[T]he one group that is excluded from any assistance for necessary childcare costs is the group that is most in need of federal financial aid — those parents who are presently below the poverty level income."³⁸⁷ Thus, this is hardly a new idea and yet would be unprecedented.

Consideration of other recent proposals — even if not ultimately enacted — could revive dormant debates, such as why we don't treat childcare costs like many other costs of earning income and what role we expect the government to play in helping non-poor working parents bear childcare

³⁸³ See, e.g., S. 180, 114th Cong. (2015) (increasing cap to \$7,000 and \$14,000 for one and multiple children, respectively); Working Parent Support Act of 2015, H.R. 964, 114th Cong. (increasing cap to \$14,000).

³⁸⁴ Family Care Savings Act, H.R. 750, 114th Cong. (2015); Working Families Relief Act, H.R. 2618, 115th Cong. (2017).

³⁸⁵ S. 661 at § 2; H.R. 1492, 114th Cong. (2015).

³⁸⁶ Child and Dependent Care Tax Credit Enhancement Act of 2015, S. 820, 114th Cong. (raising percentage credit to 50% for children under age five).

³⁸⁷ Tax Reform Act of 1976: Hearings before the Comm. on Finance, 94th Cong. 227 (1976).

expenses. For instance, the Middle Class Dependent Care Fairness Act of 2016 would have repealed phase-downs entirely.³⁸⁸ This would not be the first time that this was done. Recall that in 1971, Congress repealed phase-downs because it believed that childcare expenses were costs of earning income that should be claimed regardless of means. Repealing phase-downs would signal that childcare expenses are to be treated this way again.

Several other recent proposals would allow taxpayers the option to claim some portion of their childcare expenses as an above-the-line deduction, if the relief available under that mechanism exceeded the benefits available under the dependent and childcare credit and/or exclusion.³⁸⁹ There are sound reasons to be wary of using an above the line deduction as a mechanism for relief, because of the fact that it creates an “upside-down-subsidy.” Because the value of a deduction depends on one’s marginal tax bracket, this is absolutely true as a matter of mathematics. When a taxpayer in a 40% marginal tax bracket deducts \$100 from his taxable income, he saves \$40 in taxes whereas a taxpayer in the 20% bracket would save only \$20 when taking the same deduction.

These concerns are very valid and important. But they are also concerns that exist for every single deduction allowed by the Code (whether it falls above or below-the line), including the deductions allowed for many other costs of earning income. And before dismissing the idea of allowing some parents to deduct expenses above the line, it is at least worth pausing to consider the historical significance this change would implement and remember how we first came to have the percentage credit mechanism that is utilized in today’s childcare tax laws. As discussed in Section II.B., Second Wave feminist groups like NOW demanded in its Bill of Rights that the Code allow mothers to deduct childcare costs like other business expenses, demonstrating at the Tax Court in support of the reform.³⁹⁰ In the 1970’s, lawmakers sympathetic to the demands of feminist groups like NOW attempted to change the then-below-the-line deduction for childcare expenses to an above the line deduction, so that all taxpayers could benefit regardless of whether they itemized or claimed the standard deduction. But because less sympathetic lawmakers were squeamish about treating childcare expenses like other costs of earning income, the percentage credit was conceived and used as a workaround.

In this particular sense, then, allowing working childcare costs to be deducted above the line would move the Code to a place where lawmakers

³⁸⁸ H.R. 6146, 114th Cong. (2016).

³⁸⁹ See, e.g., S. 180, 114th Cong. § 1(b) (2015); Working Parent Support Act of 2015, H.R. 964, 114th Cong. § 2(b) (2015).

³⁹⁰ *NOW Bill of Rights*, *supra* note 25, at 474.

have never been willing to go before — a place where these expenses are treated like many other costs of earning income (which I have argued at length is primarily what they are). Allowing some women to deduct some portion of their childcare expenses like other costs of earning income might have strong symbolic value and/or effect.

This doesn't mean that an above-the-line deduction is ultimately preferable to a percentage credit. But it seems worthwhile to have a more robust debate that takes into account the history of our childcare tax laws. Even if it is ultimately decided that a percentage credit mechanism is superior — which it very well may be — it is worth asking, for instance, why working childcare costs are singled out for different treatment than other costs of earning income.

Moreover, if it were determined that there were compelling enough reasons to allow some parents to deduct childcare expenses like other costs of earning income, there are all sorts of ways that Congress could restore progressivity. Congress could, for instance, increase the benefits available to lower and middle-income parents through a targeted modification of existing childcare tax laws. Or Congress could limit the rate against which an above the line deduction might be claimed, allowing the deduction to create the same tax savings to all families with sufficient income to claim it.

In short, even modest adjustments to our childcare tax laws might enact historically significant reform for working parents.

CONCLUSION

According to its proponents, the hastily passed Tax Cuts and Jobs Act (the TCJA) provided much-needed relief to working parents. And TCJA did expand some benefits available to parents with dependent children. But all of these expanded parental benefits can be claimed regardless of whether a family incurs childcare costs to earn income. And in America, these costs are often one of the highest in a family's budget.

To directly address these costs, Congress might have reformed the childcare tax laws (two provisions in the Internal Revenue Code which allow working parents to recover the childcare costs they actually incur). Due to strict limitations many working parents — especially those with pre-school aged children — have only been able to claim tax relief for a fraction of their annual costs. As a result, the Code has been taxing families with different childcare needs inequitably. But the TCJA did not alter these laws and thus entirely failed to address these problems.

This Article explores the (d)evolution of our childcare and other parental tax laws in order to situate some of TCJA's so-called reforms into their historical context. As shown, America's early childcare tax laws were deliberately designed to benefit only mothers who needed to work and deliberately favored the one-breadwinner model for married families of above-moderate means. But in the seventies and eighties, our childcare tax laws evolved to allow all working parents to recover a significant portion of their childcare costs, and, therefore, taxed family models more equitably than predecessor laws. Yet in the decades following this evolution, Congress allowed childcare tax benefits to devolve while expanding other parental tax benefits that do not depend on actual childcare costs, restoring the inequitable taxation of families with different childcare needs.

This history shows that the TCJA's supposed "reforms" are just another piece of a well-worn pattern. And it also informs debates about future tax reforms that might actually address the American working family's "care crisis." In short, modest adjustments to our childcare tax laws, while incapable of enacting the systemic changes contemplated by some, could nevertheless move the law in directions that have been historically resisted, at least begin to address the inequitable taxation of otherwise similarly situated families with different childcare needs and perhaps even revive dormant debates about the role the American government should play in caring for children.